BBR BULL & BEAR RESEARCH

Fall 2025 Consumer Outlook

Consumer Staples

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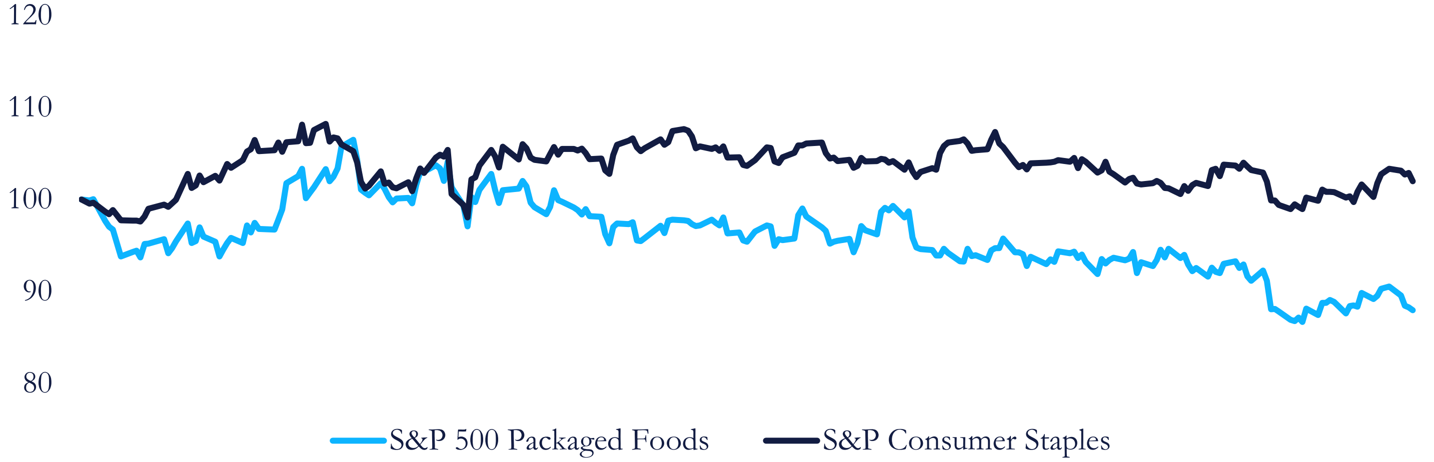
CONSUMER SECTOR OVERVIEW

Consumer Space

The consumer sectors cover companies that sell products for personal use or consumption by individuals. The consumer sector is divided into two main sectors: consumer discretionary and consumer staples. Consumer discretionary products are nonessential items purchased for entertainment, leisure, or pleasure such as apparel, home and office products, and luxury goods. Consumer staples are items considered essential to daily life that are purchased regularly such as packaged food, personal care, beverages, cleaning products, and pet care products. Consumer discretionary accounts for 10.7% of the US equity market while consumer staples only accounts for 5.1%. However, the expected 10-year annualized return for consumer discretionary is 4.92% while it is 6.71% for consumer staples. This is mainly due to significant negative asset-class valuation adjustments of -2.52% for consumer discretionary. These adjustments are priced in when sectors are trading at higher multiples than their historical averages.

Advertising and marketing campaign costs are more significant in the consumer staples and discretionary than other sectors due to the vast number of products available to users. Additionally, the ”Amazon Effect" has greatly impacted the entire sector and played a huge role in what consumers expect in terms of delivery time and shopping experience including 1-to-2-day shipping and free returns.

YTD Consumer Packaged Goods vs. Consumer Staples



Consumer Staples

Products within the consumer staples space are essential items for daily life. The retail channels for these products are extensive including mass merchandisers, grocery, drug, ecommerce, restaurants, travel and leisure destinations, healthcare facilities, and direct to consumer. In this sector, it is important for companies to ensure products are in stock and readily available for consumers. A component of this insurance is noting where consumers are purchasing their products. Online sales for staples products have significantly increased from 2020 to 2024, expanding from 14% of total products to 17%, respectively. Consumer staples makes up only 5.1% of the US equity market and this percentage has decreased throughout the past 15 years due to growth in technology and telecommunications. However, consumer staples will continue to remain a key part of the market because of its essential and non-discretionary nature. 70% of the US Consumer Defensive index' market capitalization comes from the consumer-packaged goods industry, led by Proctor & Gamble (PG), and CPG outweighs retail, beverages, and tobacco products in the consumer staple space. Later in this report, there are deep dives that closely examine five key verticals within the consumer-packaged goods space: food & beverage, personal care & beauty, household goods and tobacco & alcohol markets, and health & wellness. These deep dives will give a greater insight into the consumer-packaged goods industry as a whole.

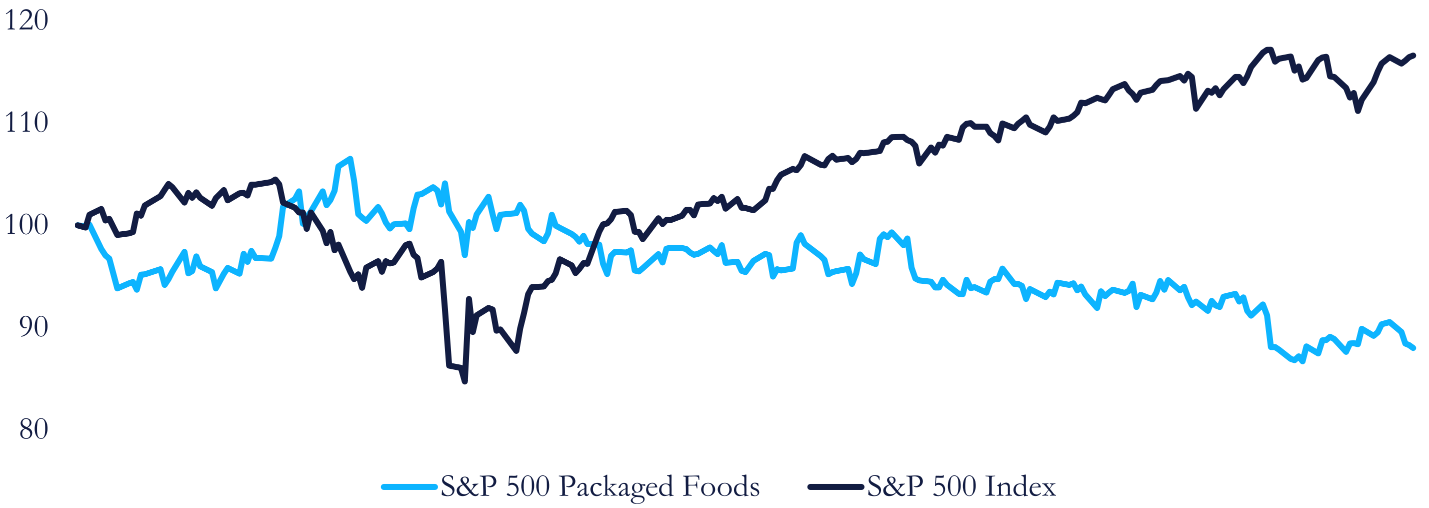
Sources: McKinsey, Statista, Nasdaq, US ITC, Morningstar

INDUSTRY ANALYSIS

Consumer Packaged Goods

The Consumer-Packaged Goods (CPG) industry is a fundamental segment of the greater consumer staples sector. Food & Beverage, Personal Care & Cosmetics, Household Supplies, Tobacco & Alcohol, and Health & Wellness are the key verticals that make up this industry. These verticals are characterized by a short shelf life, a need to be continuously repurchased, and the low costs associated with consumption. In turn, the companies that frame this industry can expect consistent, predictable revenue and resilience in economic downswings. There is an extensive list of companies that make up this space with leading names: Proctor & Gamble (PG), Colgate-Palmolive (CL), PepsiCo (PEP), and Unilever (UL) holding a majority market share. From 2023 to 2032, CPG has a projected compound annual growth rate (CAGR) of 2.98%, representing steady growth in the space. At the end of 2023, the industry was valued at $2.11 trillion. By 2032, the industry is projected to be valued at $2.75 trillion.

YTD Packaged Food vs. SPX Returns



Trends and Drivers

CPG is fast-paced due to constantly changing consumer preferences and trends in the broader consumer staples sector so there has been a push towards technological innovation. The shift towards a reduction in food waste, and in turn smaller pantry sizes. Due to consumer inflation concerns, Boston Consulting Group estimates that 72% of retailers are looking to prioritize private label brands when looking to opportunities for innovation. Consumers understand the value proposition that private label brands hold. During times of high CPG price inflation, the consumer dollar stretches further in regard to purchasing private label brands. As prices generally tend to stay consistent even after a period of high inflation, this is a key driver for consumers to continue to spend more on private label brands consistently. On top of these changes, the introduction and growth of omnichannel ordering has evolved to become ever more present in the CPG space. Prior to the COVID-19 pandemic, 13% of households bought groceries using services like Instacart or Amazon Fresh. Post pandemic, this number has risen to 30% as consumers value convenience and quick delivery more than ever before. On-demand delivery service has also expanded to keep up with these changes. Names such as Beelivery and Walmart+ have launched since the pandemic and have driven growth in this space, representing this change in consumer preferences. CPG can expect this drive towards omnichannel ordering and digital sales to become a greater factor in the future. The final and arguably most important driver for the food and beverages sector is the drive towards loading consumables with protein. According to Bain & Co., nearly half of all US consumers are looking to increase their protein intake. These changes can be seen in high protein cereals and scientifically engineered protein bars created by Peter Rahal, founder of RXBAR. According to many in the CPG space, protein is here to stay.

Sources: BCG, McKinsey, Global Growth Insights

REGULATORY LANDSCAPE

Statewide Changes

Maine, Oregon, Colorado, California, Maryland, and Washington have adopted Extended Producer Responsibility (EPR) programs. The EPR program adds the total estimated environmental costs to the selling price of the product, looking to make companies responsible for the extrinsic costs that are associated. Thirteen other states have introduced some form of ERP legislation that covers either the entire CPG industry or a specific product. Federal sponsors have introduced the Recycling and Composting Accountability Act, looking to bring these programs nationwide. These programs will focus on creating standardized labelling and compostable packaging for CPG companies. The expansion of these regulations represents the growing importance on producer responsibility.

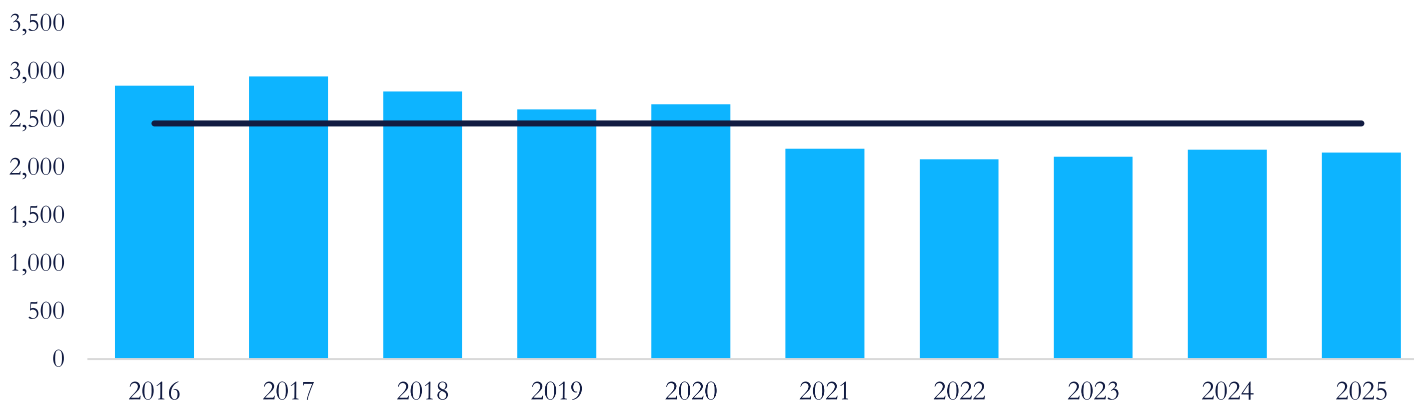
Global Perspectives

The EU's General Product Safety Regulation (GPSR) took effect in December 2024. The GPSR looks to instill new product safety requirements to keep up with more globalized supply chains in an increasingly digital world. In the CPG space, this most directly affects multi-national companies selling their products in both the EU and US. Multi-nationals are now required to send their products through a risk assessment prior to exportation as well as implement product tracking to better locate products if there is a recall. On top of these changes, manufacturers must ensure that customers have a clear way to provide complaints about any GPSR affected product.

Federal Developments

Quality control is drastically changing for CPG companies. In the United States, the Trump administration, under the guide of Robert F. Kennedy made approximately 3,500 job cuts to the Food and Drug Administration. Due to these cuts, Artificial Intelligence is increasingly being used to perform product safety checks. For the industry and the health of US citizens, this is not completely negative. While the number of violations is rising, the total affected units has declined. In Q2 2025, this has resulted in an overall drop of 31.5%. To quantify, 85.97 million products were affected, the lowest amount since Q1 2024. As the Department of Health and Human services has aggressively enforced criminal penalties for product recalls, companies are catching errors earlier in production. Additionally, by the end of 2026, the FDA plans to phase out the use of petroleum based synthetic dyes in favor of natural alternatives. These synthetic dyes are commonly found in candies, cereals, baked goods, and beverages. Consumer Packaged Goods companies have promised to remove artificial dyes through voluntary phaseouts with leaders like PepsiCo (PEP) by the end of 2025, General Mills (GIS) in the summer of 2026, and Kraft-Heinz (KHC) by 2027. Other CPG companies will follow suit to avoid steep financial penalties. The FDA is working to add four new natural color additives to the consumer-packaged goods supply chain. CPG companies will be forced to transition to these dye alternatives to continue to produce existing products.

Recall Events by Year
(FY Ended September 30, 2025)



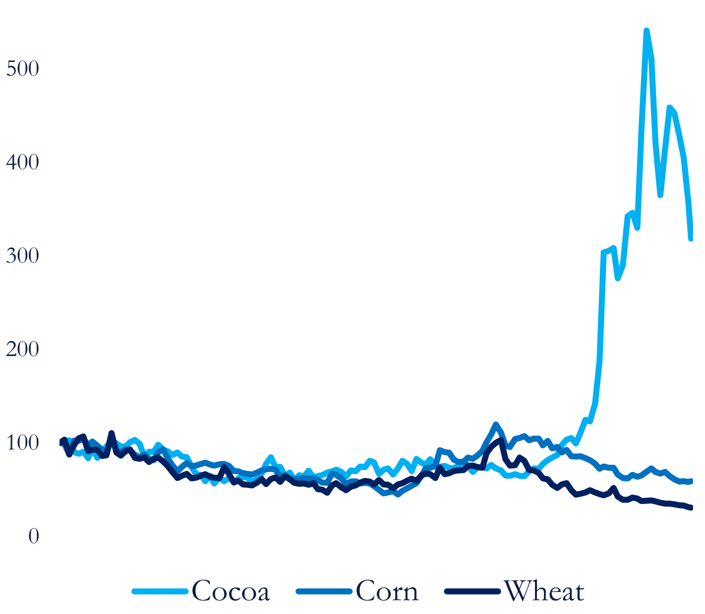
Sources: FDA, CNN, NPR, Landbell, EWG, Risk & Insurance

HEADWINDS

Input Costs

Specific inputs and ingredients for many consumer-packaged goods like wheat, corn, soybeans, coffee, cocoa, sugar, and dairy are essential to production and cannot be substituted for alternatives. These key raw materials can be impacted by supply shocks from macroeconomic activity, causing changes to prices. Supply shocks can be caused by extreme weather conditions, geopolitics, or infrastructure, and can be detrimental to the profitability of already low-margin products. Additionally, this issue is exacerbated for small, private-label companies that lack brand equity and are unable to pass through volatile input costs to consumers who would simply switch to cheaper alternatives if brands increased their prices. The trade-down risk for products is a result of the competitive nature and large variety of consumer-packaged goods brands, making volatile input costs a serious concern for smaller brands. Essential raw materials are not the only volatile input costs impacting margins for consumer-packaged goods. Fluctuations in energy source prices such as oil and natural gas can impact product supply chains and logistics due to their involvement in end-to-end production processes like refrigeration, packaging, brewing, and bottling. Input cost volatility ultimately results in increased planning costs and overall unpredictability, making the sector very vulnerable to inflationary and macroeconomic risks.

10-Yr Commodity Price Changes



ESG and Sustainability Pressures

With a growing wave of "green consciousness," people are beginning to care more about the ESG aspects and implications of production and manufacturing processes. As a result, consumer packaged goods producers are under increasing pressures from investors, consumers, and regulators to adhere to stricter ESG and sustainability guidelines. This can come in many categories, including but not limited to, ingredient sourcing, packaging, and disclosure. Ingredient sourcing includes sourcing ingredients from sustainable suppliers and limiting carbon emissions resulting from sourcing and production, such as the transportation of ingredients to and from factories. Packaging can include plastic mandates and the use of recycled material. Lastly, disclosure and reporting requirements set by regulatory bodies are growing more stringent, increasing administrative overhead costs for key players in the industry from general compliance and regulation. While cumbersome in the short-term, significant investments in ESG and sustainability measures may provide substantial appeal to consumers and investors who care about ESG, ultimately improving company perception. Although investment in ESG may decrease short-term profitability, it will likely increase market valuation, becoming a strong catalyst for increased profitability down the road.

Cocoa Price Increases

Cocoa has been one of the most volatile inputs for packaged foods, with prices increasing sharply over he past three years. Largely due to extreme weather conditions, pest outbreaks, and supply tightness in West Africa, which produces roughly 75% of global supply, the prices of cocoa have skyrocketed in recent years. Combined with the effects of inflation, chocolate products have experienced the largest price increases, with prices of popular products like Hershey's Kisses jumping around 12% YoY. Moving past the global shortage in 2024, prices are expected to fall as weather conditions improve and new plantings in Ecuador reach maturity. The recent decline in cocoa prices have been met with positive outlook from commodities traders with hopes that prices will begin to normalize soon.

Sources: Deloitte, McKinsey, Bloomberg, CNBC, J.P. Morgan

HEADWINDS (cont')

Shifting Consumer Preferences

Consumers are demanding novelty more frequently due the abundance of products and choices available in the market. The constantly shifting consumer preferences result in shorter product life cycles and contribute to the growing need for innovation and iteration. To address this, reputable brands like PepsiCo (PEP) and Coca-Cola (KO) are investing heavily in tailored marketing campaigns and are constantly rolling out new flavors and product variations, such as the Orange Cream Coke, to retain customers and revenue. Consequently, this spend results in exorbitantly high research and development costs and substantial marketing expenses that are incurred by firms as they try to stay ahead of changing consumer trends and appeal to the large and quickly shifting consumer preferences. The constant, capital-intensive competition can significantly limit smaller, niche players in the sector that lack price control, brand equity, and sufficient available capital relative to the blue-chip players, making them especially susceptible to shifting preferences. However, niche local or regional brands with loyal consumer bases may thrive if they are able to encapsulate shifting trends. On the other hand, blue-chip players with vast product portfolios may look towards M&A as a way to capture new segments while maintaining their focus on marketing and overall brand development.

M&A Highlight: PepsiCo (PEP)

May 2025: PEP acquired Poppi for $1.95B, which is a fast-growing prebiotic soda brand, bolstering its functional beverage portfolio and its "better-for-you" strategy.

January 2025: PEP acquired Siete Foods for $1.2B, adding growing, "better-for-you" Mexican-American snacks to their expanding portfolio of products to the gluten-free and grain-free market.

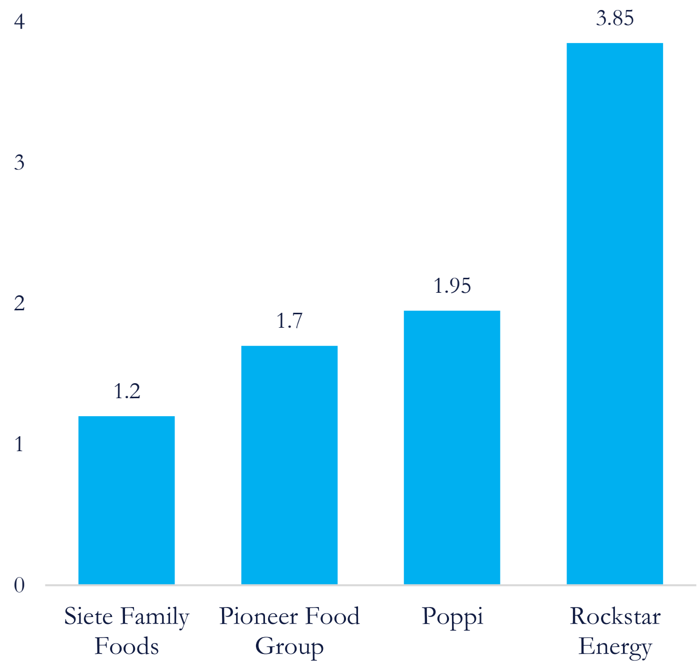
April 2020: PEP acquired Rockstar for $3.85B to own a scalable energy-drink platform and achieve growth in the high-margin energy drink category.

March 2020: PEP acquired Pioneer Foods for $1.7B, expanding Sub-Saharan Africa scale, regional brands, and routes-to-market.

Low Volume Demand

Global growth for consumer-packaged goods decreased from 2024 as price increases became unsustainable and unit volume sales growth slowed dramatically. This is ultimately possible due to a wide variety of similar products and substitutes in the market. In response to price changes, consumers will simply trade down from high-priced brands to cheaper retail substitutes to save money. The effects of slower growth have been reflected in the financials of key industry players, with decreases to net sales and organic growth rates for companies like PepsiCo (PEP) and General Mills (GIS). To increase and retain sales volume, companies are shifting their sales mix towards value products and increasing promotional intensity through targeted strategies. Consequently, these actions result in margin compression and ultimately decrease revenue for already low-margin products. To combat this, brands are forced to work towards differentiation in this hyper-competitive market to command price control and insulate margins from consumers trading down for cheaper substitutes. Upscale, reputable products with premium pricing resulting from notoriety and customer loyalty are the end goal for consumer-packaged good brands, ultimately provided constituent cash flows and reliability.

PEP M&A Activity ($B)



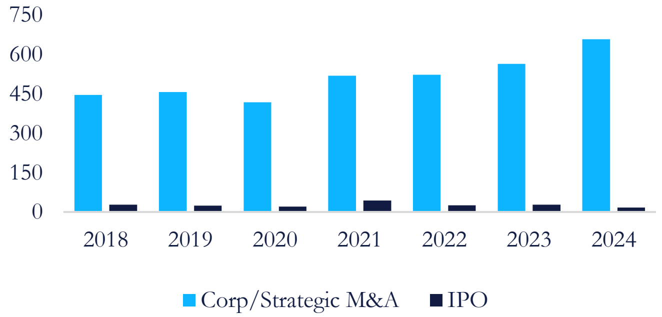
Sources: NIQ, Bain & Co., Bloomberg, Pitchbook

TAILWINDS

Health and Wellness

Health and wellness is one of the largest and fastest-growing segments within the food and beverage sector. This immense demand is ultimately tied to long-term lifestyle shifts in fitness, preventive health, and aging populations seeking healthier diets. Consequently, consumers have increased prioritization for wellness/healthy products, such as low-sugar beverages, plant-based proteins, and functional snacks. This opens the door for new brands and players to enter the growing segments with differentiated healthy products while also allowing for premiumization and pricing power of brands and products already in this segment. Effective brands that deliver real results for consumers more focused on health and wellness products could build product loyalty and brand equity, both of which are essential characteristics of successful companies in Consumer-Packaged Goods. Beverages alone has seen robust deal activity and funding for innovation to keep up with health and wellness trends. This includes gut healthy drinks, immunity boosters, protein beverages, low sugar drinks, and non-alcohol mocktails.

Non-Alcoholic Beverages M&A vs IPO



Economic Uncertainty

In times of economic uncertainty, CPG companies are positioned to capitalize on shifting consumer behavior and spending patterns. As economic volatility prevails, consumer optimism has declined 35 percent from its November 2024 peak as of August 2025. Rising prices, persistent the impact of tariffs inflation, and uncertainty about drive heightened caution across all income groups. CPG is counter-cyclical in nature because during economic downturns, consumers increase at-home consumption as they trade down from premium spending at restaurants, bars, beauty salons, and more.

DTC and Convergence

While retail is the main channel for Consumer-Packaged Goods, e-commerce and other direct to consumer (DTC) sales are projected to grow as a share of revenue through 2030. These DTC channels are expected to increase from 20% of revenue within CPG to 26% in 2030 while retail and wholesale are both expected to decline. DTC additionally allows CPG companies to collect real-time data and have faster learning cycles while also protect margins by eliminating retailers and distributors who take a cut of the revenue. There is also great convergence that stems from DTC growth. Because companies own the customer relationship and data, they can identify additional needs for consumers and sell complementary products to them, leading to convergence. For example, a CPG company can sell coffee but see that coffee buyers also buy creamer, sweeteners, mugs, etc. and begin selling these products to serve their customers more wholistically. As this growth continues, the boundaries between longstanding product categories will likely blur. This transformation of existing businesses into ecosystems that serve entire consumer groups has great potential to increase company revenues across the industry.

Emerging Markets Growth

Expanding disposable income for middle class consumers in emerging markets is fueling immense demand, specifically for reputable and branded Consumer-Packaged Goods products. Companies with global presence can capture this growing international demand, significantly expanding and diversifying revenue streams. This international growth also increases brand presence and reputation for companies. The untouched nature of many Consumer-Packaged Goods categories in these markets also presents significant opportunity for non-traditional companies including personal care & beauty and health & wellness to be the first companies offering products of their kind when they expand to these markets. As wealth continues to increase in emerging markets, consumers may also begin to trade up from staples to premium products, allowing companies to engage in line expansion.

Sources: PWC, Bloomberg, Pitchbook, S&P Net Advantage, McKinsey

CREDIT LANDSCAPE

Uses of Debt

Most mature CPG companies with stable cash flows use debt in their operations. They tend to have reasonable debt/capital ratios, around 40 to 50 percent. CPG companies also tend to have high raw material and inventory costs which leads to high working capital requirements. This leads growing CPG companies to use working capital financing including lines of credit for access to capital when needed. Large companies in this space tend to maintain revolving credit facilities just as a failsafe. However, most large CPG companies use debt to either finance acquisitions or refinance when in a favorable lending environment. This is done through bond issuances, loans, or a combination of both. Other uses of debt include expansion, plant or equipment upgrades, and project financing.

Logistics of Debt

As inventory is often a huge line item for CPG companies, it is common for smaller companies to use inventory as collateral for their debt, also known as inventory financing. Some companies do this same thing with accounts receivable. Additionally, invoice factoring can be used to turn unpaid invoices into working capital. This entails selling your unpaid invoices to a factoring company at a discount of typically 5-10 percent. The factoring company collects the money owed as they now own the invoices and non-collected payments become their loss.

$6.3 Billion

Coca-Cola

General Debt
via Revolving Credit & Term Loans

June 2024

$5 Billion

Johnson & Johnson

Acquisition Debt
via Senior, Unsecured Bonds

February 2025

$26 Billion

MARS

Acquisition Debt
via Senior, Unsecured Bonds

March 2025

$3.5 Billion

PEPSICO

Debt Refinancing
via Senior, Unsecured Bonds

July 2025

Industry Creditworthiness

CPG companies tend to be viewed favorably and creditworthy due to their defensive and stable characteristics. As CPG companies have stable demand trends and less variability during economic downturns, they are lower risk than other industries. Additionally, CPG companies have very strong and predictable cash flows due to recurring customer purchases which allows debt issuers to easily forecast debt service coverage. CPG companies often have elevated leverage to finance acquisitions. However, companies in this industry are often able to de-lever within a short period of time because of their strong cash flows. Lastly, because this industry is countercyclical, with consumers doing more at-home during recessions, there is great downside protection. Consumer staples can expect consistent demand during economic cycles.

Private Credit View

As private credit managers remain well capitalized with substantial dry power, they are well positioned to make investments at what they deem to be attractive entry points. The consumer products sector is an industry that is currently selling for less than it normally would with business to consumer EV/EBITDA at 8.2x, well below the 10-year average of 9.6x. Additionally, the regulatory environment is notably favorable for mergers with the government being reluctant to block deals for being anticompetitive. This creates increased need for debt financing within the industry. There are many opportunities for private credit investors in CPG including roll-up consolidations and operational improvements. Overall, the future of private credit within the CPG space is favorable and future deal count should continue to increase.

Sources: Morningstar, S&P Global, CFRA, Assembled Brands, JM Smucker

M&A ACTIVITY

$ 1.92 Billion

PEPSICO

Acquisition of

poppi

March 2025

$16 Billion

PHILIP MORRIS INTERNATIONAL

Acquisition of

Swedish Match

February 2023

$1.7 Billion

ESTĒE LAUDER

Acquisition of

DECIEM

June 2024

$5.6 Billion

Coca-Cola

Acquisition Of

BODYARMOR

March 2025

$ .342 Billion

Unilever

Acquisition of

Minimalist

January 2025

$5.6 Billion

THE J.M. SMUCKER Co

Acquisition of

Hostess BRANDS

November 2023

M&A Dynamics

Recent economic challenges, high interest rates, and geopolitical tensions (highlighted by supply chain disruptions) have strained the Consumer-Packaged Goods M&A market in recent years. For these reasons, deal count has decreased with companies prioritizing higher quality and therefore higher valued transactions. Consolidation is becoming ever more important to major players in this space. For the future, investors can expect deal count and deal volume to rise. As the Federal Reserve has likely indicated another 25-bps rate cut for the remainder of the year and geopolitical tensions begin to calm, the M&A market will be more active in 2026, where expectations are an additional rate cut, further improving macro conditions for M&A activity. Major transactions are planned for Q1 2026, highlighted by Keurig Dr Pepper's (KDP) planned acquisition of JDE Peet's (JDEP) for $18 billion. Once this transaction closes, Keurig will combine its coffee business with JDEP, and this company will be spun off. Through separating their business, Keurig will be better aligned with the coffee business.

Sources: Pitchbook, KPMG, Food Business News

NOTABLE DEAL ACTIVITY

PepsiCo (PEP) Acquires Poppi

In May of 2025, PepsiCo (PEP) completed their acquisition of Poppi, a fast-growing prebiotic soda brand, for a purchase price of $1.95B that included tax benefits of $300M. Prior to the acquisition, Poppi achieved more than $500M of sales in 2024, leading the industry and simultaneously increasing their market share. Success of the modern soda brand is a product of reformulation and extensive R&D over the past 15 months, proving itself as a key player in the healthy beverage division. The acquisition is largely a result of PEP's commitment to the growing health and wellness segment, marking Poppi as a strong addition to PepsiCo's product portfolio.

Estèe Lauder (EL) Acquires Deciem

In a press release dated June 3, 2024, Estée Lauder (EL) announced that it completed the acquisition of Deciem Beauty Group. EL had been involved with Deciem since early 2017 and became a majority shareholder in 2021. As seen in slide 13, acquiring Deciem was part of a long-standing business plan to diversify past traditional, not focused on ingredients brand. Leveraging EL's global audience, Deciem expanded its portfolio with a new range of ingredient-focused, minimalistic products Since EL's involvement, Deciem has more than tripled its sales.

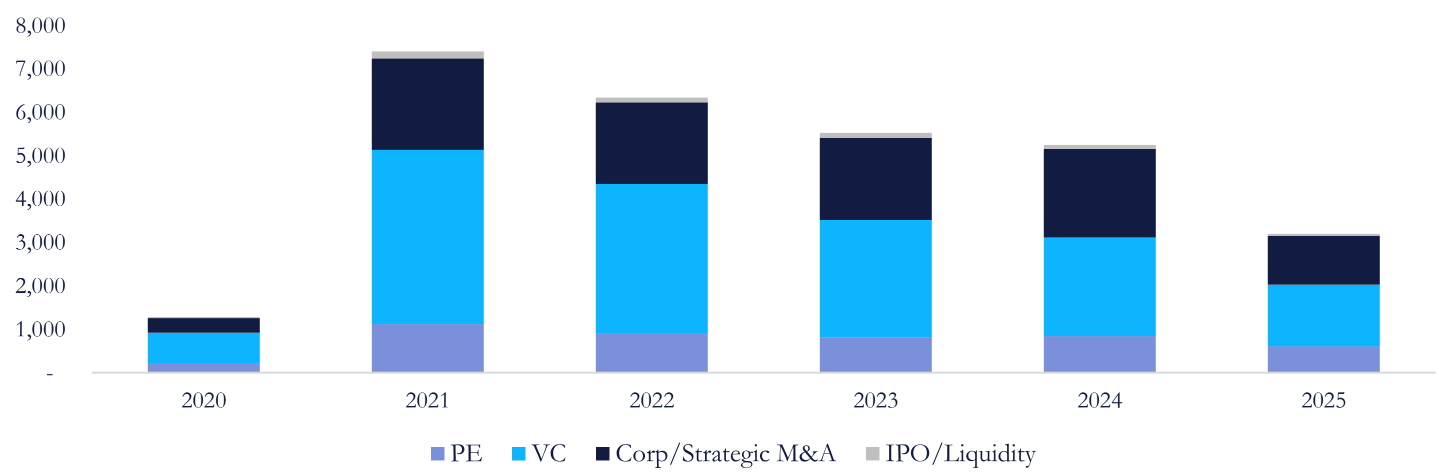
Kenvue (KVUE) Spin Off from Johnson & Johnson (JNJ)

On August 23, 2023, Kenvue Inc. (KVUE) completed its full separation from JNJ to become an independent consumer health company. JNJ accepted ~190 million shares of its own common stock in exchange for ~1.5 billion shares of KVUE stock, reducing its ownership to 9.5% of KVUE. This exchange offer was significantly oversubscribed at 4.2x demand, showcasing high shareholder confidence in KVUE, which is the largest consumer health company by revenue owning name brands such as Aveeno, Band-Aid, Neutrogena, Tylenol, and more. Following the separation, KVUE was added to the S&P500 index, during the rebalance on August 25, 2023.

Phillip Morris (PM) Acquires Swedish Match (SWMA)

On February 28, 2023, Phillip Morris International (PM) acquired 100% ownership in Stockholm based Swedish Match AB (previously SWMA), delisting from the Nasdaq Stockholm exchange. Swedish Match is best known for their smokeless nicotine products, particularly Zyn. Through a tender offer, PM paid 116SEK ($12.26) per share, valuing the company at $16B. To fund this acquisition, PM entered a senior unsecured bridge credit facility with Bank of America and Citi Group for $17B. Until 2027, this loan will continue to be repaid through the proceeds issued by long term debt obligations. PM looks to be involved in the "smoke-free future" driven by oral nicotine through this acquisition. Through this deal, Phillip Morris (PM) intends to bring Zyn manufacturing closer to the company's largest market, the United States.

Consumer Staples Deal Count



Sources: PepsiCo, Forbes, J&J, Kenvue Inc.

AI IN CPG

Artificial Intelligence Reshaping Consumer Packaged Goods

Nearly half of the US Consumer space uses AI for their core operations - efficiency in repetitive tasks, a lower and more predictable margins of error, and round the clock operational capacity has made it such that firms in the retail and consumer sectors increasingly face a competitive disadvantage by not integrating AI into workflows. The share of consumer-focused firms classified as "AI-adopters" has jumped from 20% to 44% in 1H2025. Furthermore, ~70% of managers are beginning the process of fundamentally changing the way their operations are run. While AI has the potential to transform every stage of the product lifecycle in the consumer space, the ones with the largest impact and the biggest changes are as follows:

Supply Chain Management

Predictive analytics can create 7% - 14% of additional warehousing capacity by identifying consistent unused space, forecasting demand based on historical trends, and factoring in variability in resource availability. Some systems can also evaluate the amount of labor, capital, and operational tasks and map out the most efficient way to execute them. An example is Amazon's warehousing system giving a concrete POA and distribution of unallocated capital. While these systems are expensive to run and still in their early stages, it shows how much value AI can unlock through supply chain optimization.

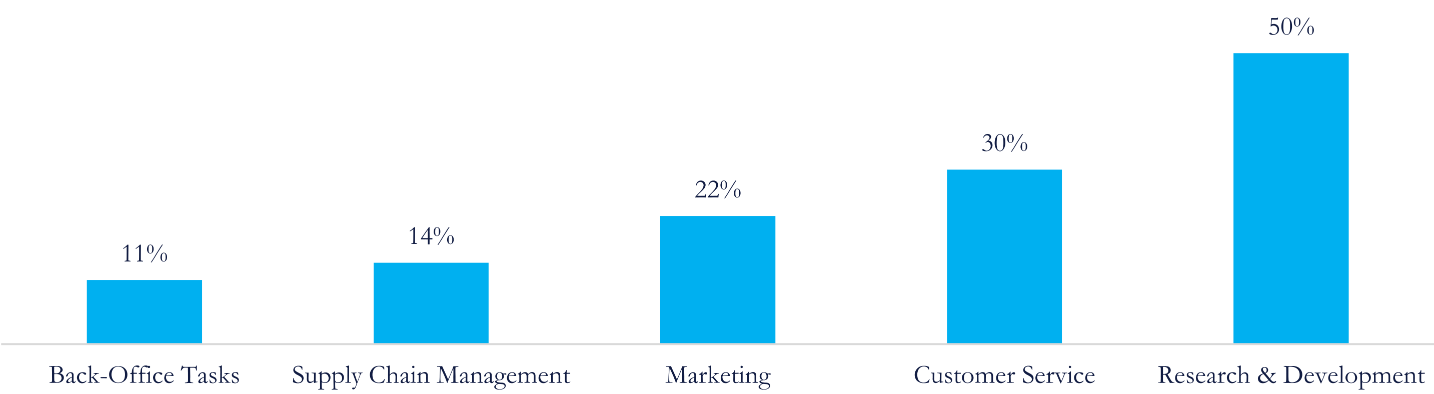
Research and Development

A key limitation in the CPG vertical is the constant change in consumer trends and preferences. This creates a bottleneck, as the processes of identifying trends, designing products, and bringing them to market often take longer than the trends themselves last. However, it can predict behaviors like flavor choice patterns and consumption patterns months before they occur, allowing for research and development to gain early leads in product development. This had an approximately 50% increase in faster product cycles, allowing firms to capture trends more effectively. Larger trends in consumer preferences, like conscious, healthy eating allows companies to continue to develop low-calorie, high-protein foods as consumers are growing increasingly more health conscious.

Risks of Using AI

Though AI has a measurable impact on performance, it runs the risk of homogenization. Since AI is still in its growth stages, most companies use the same underlying systems and datasets. This has a negative effect of homogenization. When data is being sourced, evaluated and interpreted by the same few models, the results are similar. For example, Coca-Cola (KO) and PepsiCo (PEP) both use AI-driven analysis to predict consumer taste preferences produced a similar product – Coca-Cola's Y3000 and PepsiCo's Starry, both energy and zero-calorie focused drinks with a "crisp" taste. Ultimately, when firms rely on the same AI tools, they bear the risk of convergent innovation and can lose the creative edge they once had.

AI Driven Efficiency Gains Across CPG Value Chain



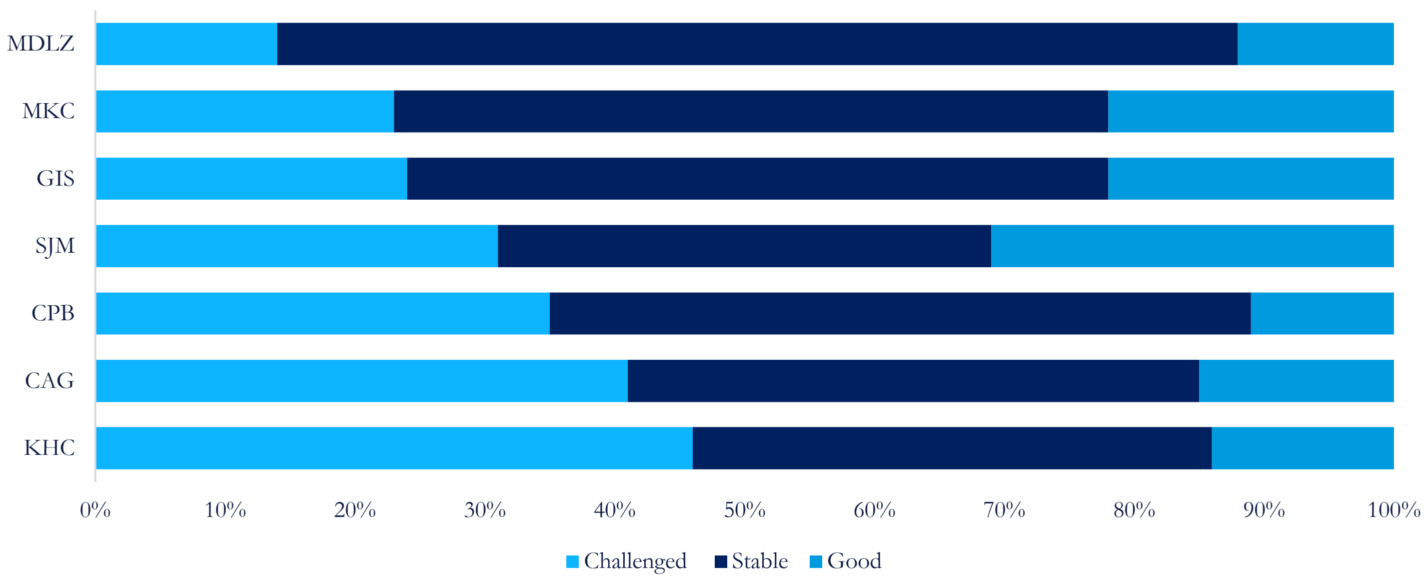
Sources: PWC, McKinsey, Nvidia, EY, Oracle

FOOD AND BEVERAGE

Competitive Dynamics: Insurgent Brands Challenge Multinational Scale

The fast-moving nature of the food and beverage sector allows for new brands to challenge incumbents and present opportunities for disruptive innovation. Regardless of category dynamics, insurgent brands focus on customer-centric approaches, addressing unmet customer needs in new and unique fashion and increasing product attractiveness through premium offerings to unlock substantial growth opportunities. In 2024, these new insurgent food brands accounted for only 1% of market share but almost 27% of category growth. In nonalcoholic beverages, it was less than 3% of market share but over 32% of growth. New brands and products disrupt existing markets by tapping into growing segments. Chomps, for example, pitches itself as a sugar-free, high-protein, portable snack when compared to rival and longtime leader Slim Jim. Disruption is also being accelerated by technological advantages, as online retailers like Amazon provide cheap distribution channels to smaller brands, ultimately avoiding the fight for costly, premium shelf space at key retail distributors. Customer-centricity has allowed these brands to achieve long-term, sustained growth through their focus on innovation, iteration, and improvement. While volume expansion has been the main growth lever, consistent and sustained growth will contribute to an increase in customer loyalty, price control, and a notable market share for once-insurgent brands, allowing them to continue their rise in the competitive food and beverage sector.

Portfolio Mix: Challenged, Stable, and Growing Brands



"Challenged" brands have volume declining 1.8% or more per year, "good" brands have volume increase of 1.8%

Defensive Fundamentals, Price Inelasticity Reward Brand Equity

The essentiality of food and beverage products leads to consistent volume demand. However, the variety of choices and substitutes available to consumers contribute to trade-down vulnerability for weaker brands. Conversely, equitable brands maintain brand image and customer loyalty, expanding revenue in times of growth and cushioning margins during demand downturns. To do this, brands like Coca-Cola (KO) focus on marketing spend and ad campaigns, spending over 6% of revenues on brand advertisement, specifically tailored towards customer expression and brand connection. As a result, Coca-Cola (KO) experienced respective volume and organic sales growth of roughly 1% and 5% in 2024, reflecting their commitment to advertisement and brand image. Companies that play into the defensive nature of the sector by building brand equity and customer loyalty can gain price control, increasing margins despite the competitive environment and limiting trade-down risk for their products.

Sources: Bain & Co., BCG, WSJ, Coca-Cola

PERSONAL CARE AND BEAUTY

Overview and Spending Trends

The personal care and beauty subindustry has been a large part of CPG, gaining share as consumers dedicate a larger share of their discretionary income to appearance-related products. In 2024, US sales were valued at $102.7B, accounting for nearly 20% of the global sales. US sales are estimated to reach $150B by 2030, growing at ~7.1% CAGR. This growth can be largely attributed to younger generations valuing their appearance and the rise of influencers promoting niche products. Historically, the personal care & beauty industry was viewed as nonessential, however, recent consumer surveys consistently show that demand is more resilient than ever before, and over 75% of consumers view personal care & beauty spending as essential. The average US consumer spends $1,754 every year with Millennials and Gen-Z leading spending at $2,670 and $2,048 per year, respectively.

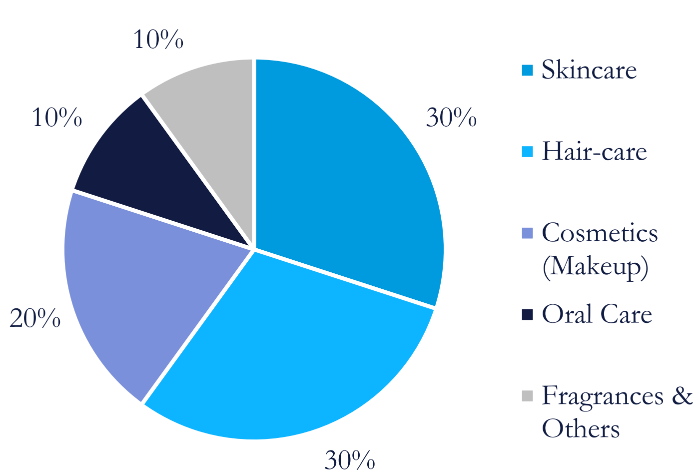
The Rise of Clean, Sustainable, and Premium Beauty

The two main drivers of the sub-industry are users' emphasis on picking the healthiest and most environmentally friendly products. These two criteria have led to the premium beauty industry experiencing strong growth as customers acknowledge their increased wants and are willing to pay more for their personal care & beauty products. The sub-vertical of clean, sustainable, and premium beauty is currently valued at $2.5B and is expected to grow at a 14.1% CAGR, reaching $5.7B by 2027. Premium beauty sales rose 15% in 2023 as compared to mass-market beauty, which grew by only 4%.

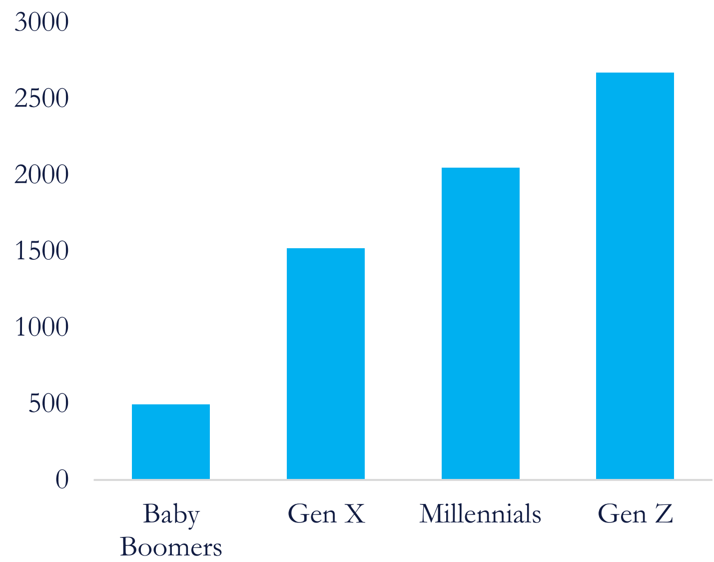
From Niche to Mainstream: The Role of M&A in Beauty

Larger brands have been trying to capture market share. One of the most notable acquisitions has been Estee-Lauder (EL)'s $1.7B deal with DECIEM, the parent company of brands of The Ordinary and NIOD – both of which focus on premium and clean skincare. In 2024, there were 57 beauty M&A transactions, up 33% year-over-year from 43 deals in 2023. Each of these deals are examples of how acquisitions create a two-fold growth effect. Initially, smaller brands (The Ordinary, Rhode, etc) leverage their uniqueness to target niche but highly loyal customer bases. This organic but rapid growth is then accelerated when MNCs leverage their reach – essentially introducing a solution of clean and sustainable beauty to the mainstream market that most customers would not have known about. For perspective, Since Este Lauder's involvement, The Ordinary's sales have increased more than three times.

U.S. Personal Care Market Segmentation



Consumer Spending Patterns Across Generations ($)



Sources: Bloomberg, Estee-Lauder Annual Report, Wall Street Journal

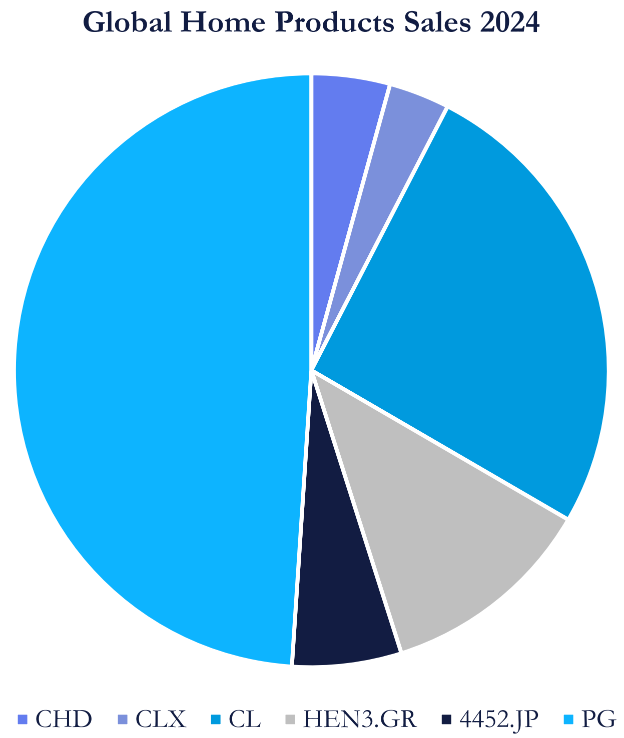
HOUSEHOLD PRODUCTS

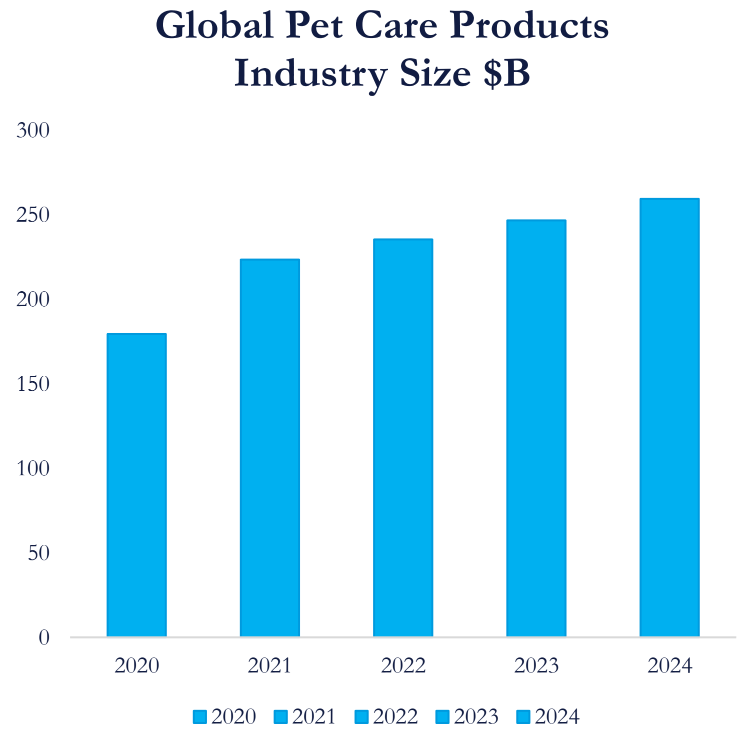
Cleaning Up the Market: Trends and Dynamics in Home Goods

The household products within the CPG space encompasses essential, high-turnover products such as cleaning and laundry supplies, pet care, personal hygiene, and beauty goods, which have steady, inelastic demand regardless of shifting economic cycles. Consumers have become more price sensitive and keen on bulk purchasing from e-commerce and subscription models, expanding direct consumer access. The shifting preference for sustainable, non-toxic, and health-conscious formulas has pushed companies to reformulate products and innovate. This has also increased the M&A activity in the space with small, niche, sustainable companies getting bought out by large, more established conglomerates who are looking to add to their product portfolios while being conscious of their sustainability footprint. With this shift, there is space in the market for private-label, niche companies which gain share from quality and affordability advantages. However, the market is dominated by multinational conglomerates like Procter & Gamble (PG), Colgate-Palmolive (CL), Kenvue (KVUE), Unilever (UL), Kimberly-Clark (KMB), and Church & Dwight (CHD) making up more than 80% of total market share. The household goods industry remains resilient with steady, moderate growth from innovation, brand loyalty, and evolving consumer values in the market.

2H Outlook for the Household Products Space

This area of CPG is facing a challenging near-term outlook amid slowing demand in 1H25 and cost pressures. Ongoing tariff risks and input cost inflation continue to weigh on margins. There is investor concern about the industry's growth trajectory demonstrated by the widening gap between the MSCI World Household & Personal Products Index and the broader MSCI ACWI from Bloomberg. There are inflationary pressures that are projected to limit 2H performance, with volume growth for home and personal care projected at only 1% in 2025. Industry leaders are responding to these pressures by streamlining operations and cutting costs – such as PG reducing 15% of its workforce to maintain profitability. Despite some caution about the sector in the US, the space maintains its long-term defensive characteristics. E-commerce and digital marketing are creating new growth channels and innovation, and operational efficiency are key to maintaining margins and consumer loyalty within this competitive but stable segment of the CPG market.





TOBACCO AND ALCOHOL

Top-Heavy Tobacco Market

Fueled by a recent nicotine pouch craze, the global nicotine market has seen strong growth. While traditional tobacco product (cigarettes and cigars) growth is predicted to be modest with a CAGR of 2.5% from 2025 to 2030, nicotine pouches tell a different story. During this period, the oral nicotine market will see a 29.6% CAGR, valuing the market at $25.4B in 2030. The two biggest names in this space are Zyn and Velo owned by Phillip Morris International (PMI) and British American Tobacco (BTI), respectively. In the United States, Zyn holds a 74% market share compared to Velo at 12%. Recognizing this trend, PMI acquired Swedish Match and in turn Zyn for $16B in May 2022. In 2024, PMI announced plans to build a $600M manufacturing facility in Aurora, CO to fund a "smoke-free future." Shifting to the traditional tobacco industry, these two companies are the still the two largest. Following these two names is the Altria Group (MO), the rebranded parent company of PMI, and Japan Tobacco (JAPAY). These four companies control more than 80% of total global tobacco and nicotine sales by market cap. In 2020, the five largest smoking countries – China, Indonesia, United States, Russia, and Turkey accounted for 61.9% of all cigarettes sold.

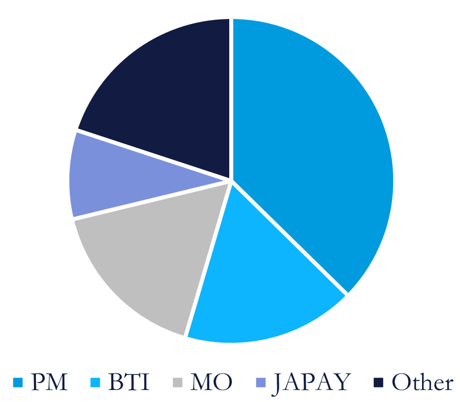
The Boom of Canned Cocktails

The alcoholic beverage industry is nearly as concentrated at the top as the tobacco space. The five largest companies: AB InBev (BUD), Heineken N.V. (HEINY), Diageo (DEO), Pernod Ricard (PRNDY), and Constellation Brands (STZ) hold ~60% market share. In terms of market makeup by revenue, spirits account for 40% while beer is in a close second at 38.1%. In the US, revenue generated from the alcohol industry neared $295 billion in 2025 and expected to grow at a 2.4% CAGR until 2030. $184 billion of this market was generated from retail sales and $111 billion came from restaurants and bars resulting in a revenue per capita of $528.48. Recent developments in this industry correlate to an increase in demand for canned cocktails. Popular names in the space like High Noon, Cutwater, and Sun Cruiser are building off what was an explosion in demand for hard seltzers that is now starting to fizzle out. The features setting these companies apart are real fruit juices, higher quality spirits and a lack of carbonation. Shifting consumer preferences are driving a 9.5% growth in the canned cocktail space. The Ready to Drink (RTD) cocktail market is flourishing, consumers can expect many more canned cocktail varieties to hit the shelves soon.

Shifting Spirits: Changes in the Alcohol Industry

With a 2023 US market size of nearly $415B and a CAGR of 2.3% from 2024-2030, one would believe that the alcohol industry is set for steady growth. However, traditional alcohol consumption has dropped drastically in the US. Currently, Gallup reports that only 54% of adults report drinking alcohol, the lowest percentage recorded in 88 years of the study. Instead, consumers are opting for healthier alternatives like zero proof options. Private companies like Athletic Brewing and Ritual Zero Proof have made a name for themselves in this shifting market. The trend in turning away from traditional alcohol consumption can be attributed to the wider trend of health and wellness, particularly in younger generations. According to the NIH, this change can be seen through the "normalization of non-drinking." Public companies have also capitalized on this trend. Diageo (DEO) produces Guiness 0.0, AB InBev (BUD) produces Budweiser Zero, and Boston Beer Company (SAM) manufactures a zero alcohol IPA. This zero-proof trend is not going unnoticed. Major public names have followed these shifting consumer preferences.

Tobacco Industry by Market Cap



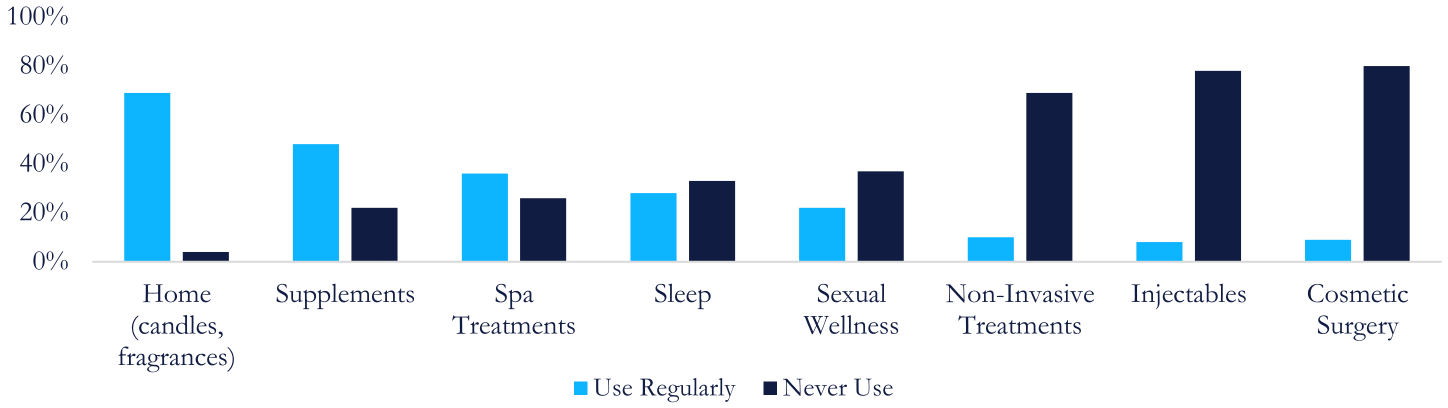
Sources: Statista, MarkNTel, Fortune Business, NIH, Nicotine Insider, Campaign for Tobacco Free Kids

HEALTH AND WELLNESS

Health-Conscious Consumers Reshaping Spending

According to McKinsey, the global wellness industry is $2 trillion as of 2025 and is expected to grow at a 5.4% CAGR through 2034. Growth in the industry is driven by younger consumers who have increased prioritization of wellness factors such as sleep, nutrition, gut health, aging prevention, stress management, and more. The wellness space appears to be resilient with 85% of US consumers categorizing it as either a top or important priority. Spending in this space accounts for over $500 billion in annual spend in the US and this amount is growing around 4% each year.

Consumer Health & Wellness Product Use



Feeding the Trend: The $45 Billion Supplement Business

The US dietary supplements industry has seen significant growth, driven mainly by higher prioritization of health and wellness along with the aging population. The estimated market value of this industry is $45 billion growing at a 5.8% CAGR through 2032. Most of the biggest players in this space are diversified companies such as Abbott Laboratories. Abbott Laboratories is the biggest player in the supplement space with a market capitalization of ~$230 billion, holding brands such as Ensure and Pedialyte, but also operating in other industries including medical devices and pharmaceuticals.

The industry is broken into many types of products including vitamins, minerals, probiotics, meal replacements sports nutrition, and more. The most significant types right now are vitamins and sports nutrition. Vitamins contain essential nutrients and make up most of the US supplements market at 40%. Sports nutrition products are the fastest growing supplement product, and they include protein powders, pre workout, energy bars, and amino acid supplements.

Eating with Purpose: The Functional Nutrition Opportunity

Functional nutrition is one of the main areas of growth within health and wellness in 2025. Functional nutrition goes beyond healthy foods, which exclude unhealthy components such as sugar or gluten and are an alternative to existing options. It includes food and beverages that have health benefits, a sort of combination of food and beverages with supplements. Functional nutrition products incorporate high value components such as protein, vitamins, and more into food and beverages. The most sought after benefits that health-conscious consumers are looking for in these products include gut health, immunity, muscle, bone, and joint support. The companies in this space produce products such as fermented foods, high-protein foods, super greens, and pre and probiotic drinks. Many top players have pivoted to incorporate these products into their offerings such as Nestle (NSRGY), PepsiCo (PEP), Kellogg's (K), and more. Each of these companies offers some alternative to their typical products which has an additional health ingredient including protein, probiotics, and fiber. These companies are changing with the broader consumer trend of prioritizing health in the food that they consume.

Sources: Statista, McKinsey, SkyQuest, Precedence Research

BBR

BULL & BEAR RESEARCH

Comparable Company Analysis: Beverages

IPO ACTIVITY

$4.37 Billion $22 per Share kenvue August 2023	$1.5 Billion $21 per Share OLAPLEX September 2021	$522 Million $20 per share Smithfield January 2025
$413 Million $16 per Share THE HONEST CO. May 2025	$172.5 Million $15 per Share VITA COCO October 2021	$280 Million $12 per share sovos brands September 2021

IPO Overview: Consumer Packaged Goods

Being in a defensive sector, one would assume that the consumer-packaged goods IPO market would stay consistent. However, in recent years, fewer US based companies have gone IPO. As with other industries, the IPO market has been affected by macroeconomic headwinds, particularly uncertainty with the federal reserve's decision on interest rates. The consumer-packaged goods IPO market saw a slight rebound shortly after the COVID-19 pandemic but deal count has stayed stagnant or even fallen since. As an alternative to an IPO, consumer companies are opting for an acquisition. The potential to not have to appeal to public investors and instead exit seems to be a compelling options for the c-suite of these companies. Smithfield Foods (SFD) is a good example of this slow and uncertain IPO market. From initial investor filings, Smithfield's expected market cap was lined up to open at about $940 billion. Prior to the IPO, those numbers were revised and the company held a $7.86 billion market cap, about 25% lower than the initial investor filing.

Sources: Bloomberg, KPMG, EY IPO Insights

PEER UNIVERSE: BEVERAGES

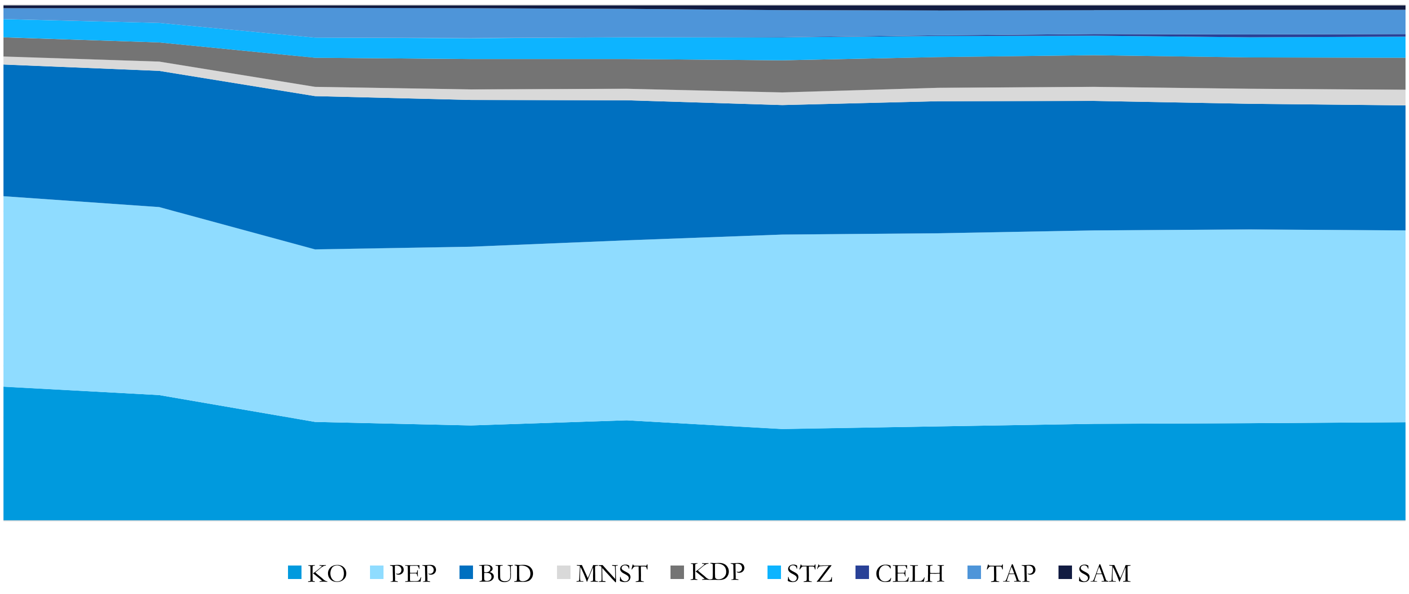
Logo	Company	Ticker	Description	Market Capitalization ($B)
	Coca-Cola	KO	One of the most widely recognized brands globally, Coca-Cola was founded in 1886 and now produces soft drinks and bottled beverages for all but 2 countries.	314.53
	PepsiCo	PEP	Headquartered in Purchase, New York, PepsiCo's portfolio consists of both Pepsi products and Frito-Lay. PepsiCo products are consumed billions of times daily.	203.38
	AB InBev	BUD	Based in Leuven, Belgium but trading on the NYSE, Anheuser-Busch InBev is a conglomerate of alcoholic beverage companies operating in 50 countries globally.	124.24
	Monster Beverage Corp.	MNST	While best known for energy drinks, Monster Beverage has expanded into the hard seltzer space, now offering both a malt beverage and hard iced tea line.	73.27
	Keurig Dr. Pepper	KDP	Through a 2018 merger of Keurig and Dr. Pepper, KDP products now compose hot beverages, soft drinks, bottled waters among many others.	37.9
	Constellation Brands	STZ	Constellation brands specializes in beer, wine, and spirits with names such as Corona, Modelo Especial, and High West Whisky in their portfolio.	23.87
	Celsius	CELH	One of the newer names, Celsius was founded in 2004 and has gone through multiple rebrandings since. Today, Celsius solely produces caffeinated products.	10.55
	Molson Coors	TAP	A Canadian-American brewery, Molson Coors is best known to produce some of America's most well-known ales: Coors Light, Miller Light, and Blue Moon.	9.19
	Boston Beer Company	SAM	Samual Adams Lager, Angry Orchard, and Twisted Tea are the Boston Beer Company's major names. 95% of Boston Beer Company's revenue comes nationally.	2.12

The companies above represent the broader beverages vertical of the CPG space. Through all the above companies being multi-nationals, these companies have both a far reach and influence among the broader beverage sector. First, these companies encapsulate the many different sectors within the beverage space. Alcohol, soda, bottled water, energy drinks, juices and others are all represented in this set of comparable companies. On top of this, the range of market caps allows for comparison among the broader sector. Blue-chip, defensive names like Coca-Cola (KO) and PepsiCo (PEP) are compared against smaller, faster growing names like Celsius (CELH) and Boston Beer Company (SAM). As one can see above, a set of differing LTM revenue allows comparison among companies with differing financials. The diversification of names that are present allow for a comprehensive understanding of the broader beverage sector. Finally, by market cap, these companies hold a significant market share in the beverage sector. Because these companies hold a combined majority market share, adequate analysis can be done and conclusions can be drawn about the broader sector's value creation.

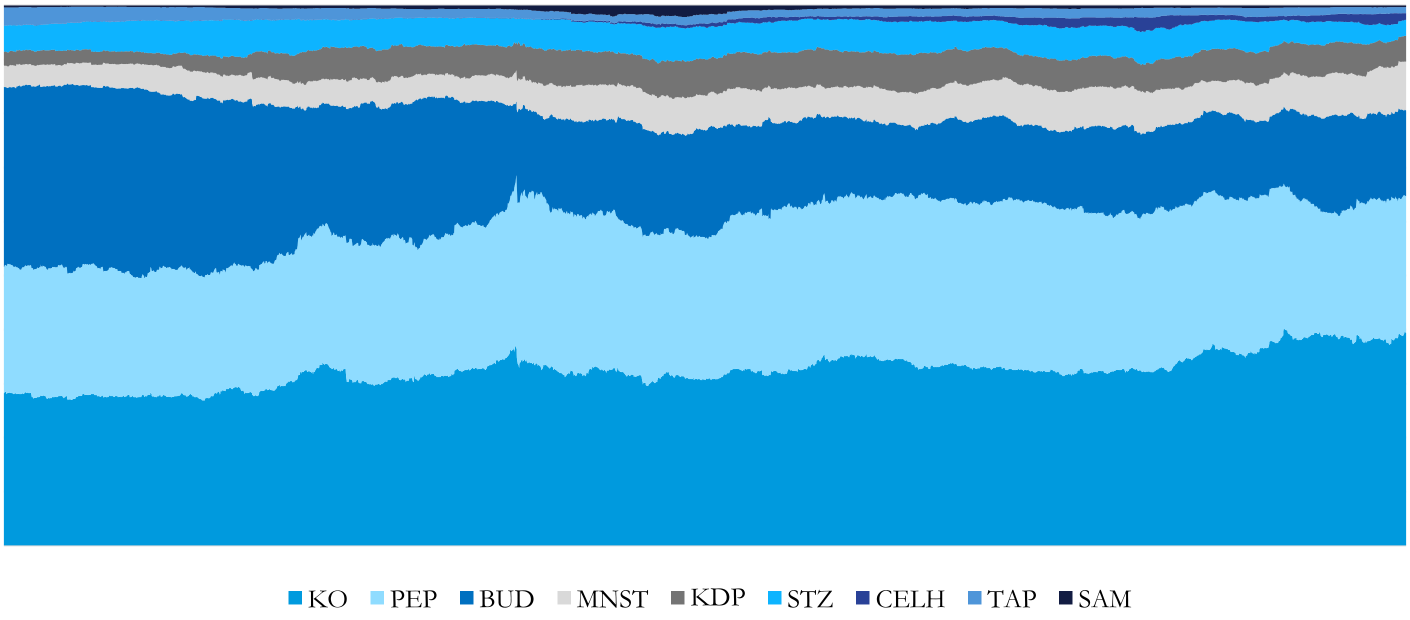
Sources: Bloomberg, Forbes, Respective Company Websites

MARKET SIZE

10-Yr Revenue



10-Yr Market Capitalization



The two charts above show the relative positioning of each company's revenue and market capitalization to the others in the comparables set. This analysis helps determine which companies are overvalued - higher market cap than revenue - and which are undervalued - higher revenue than market cap. KO has been losing market share in terms of revenue while its market cap has increased, possibly hinting that the company could be overvalued. MNST's market cap has increased at a faster rate than its revenue, so its position is overamplified on the street. CELH has a similar standing to MNST as growth has been incredibly quick compared to other names on the chart (PEP, KO, TAP, BUD). The popularity of CELH and MNST's products are shown in these graphs. BUD has lost relative share in market cap while its revenue has stayed constant, so it has become more undervalued. PEP has constant revenue with low growth while its market cap has been relatively constant, yet smaller than its revenue share, therefore it is a steady, slightly undervalued investment in the market.

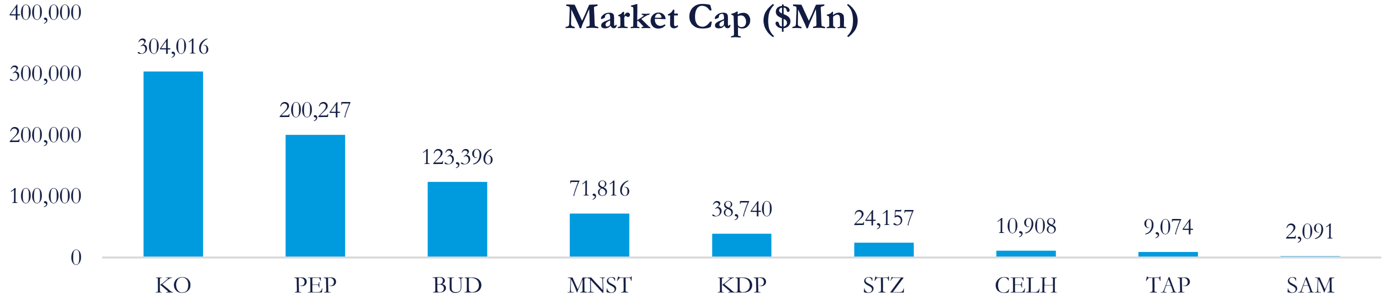
Sources: Bloomberg

BEVERAGES INFORMATION

$ in millions of USD (As of Q3 2025)

Company	Mkt. Cap	Enterprise Value	Share Price	Revenue	Employees	Revenue/ Employee	Adjusted EPS
Coca-Cola (KO)	314,534	348,189	73.12	47,061	69,700	0.68	2.88
Pepsi (PEP)	203,378	245,721	148.74	91,854	319,000	0.29	8.16
Anheuser-Busch (BUD)	124,244	203,068	61.53	59,768	143,885	0.42	4.06
Monster Energy (MNST)	73,267	70,706	74.99	7,493	5,527	1.36	1.62
Keurig-Dr. Pepper (KDP)	37,904	54,957	27.9	15,351	29,400	0.52	1.92
Constellation Brands (STZ)	23,872	34,631	136.38	10,209	10,600	0.96	13.78
Celsius Holdings (CELH)	10,554	12,370	40.94	1,356	1,073	1.26	0.70
Molson Coors (TAP)	9,184	15,088	46.51	11,627	16,800	0.69	5.96
Boston Beer Company (SAM)	2,076	1,867	194.8	2,013	2,537	0.79	10.96
Lower	10,554	15,088	46.51	7,493	5,527	0.52	1.92
Median	37,904	54,957	73.12	11,627	16,800	0.69	4.06
Mean	88,779	109,622	89.43	27,415	66,502	0.77	5.56
Upper	124,244	203,068	136.38	47,061	69,700	0.96	8.16

The food and beverage sector is a highly competitive landscape as blue-chip multinationals compete with unique local and regional brands for market share. Coca-Cola (KO) and PepsiCo (PEP) have the largest market capitalization of roughly $315B and $200B respectively, while Molson Coors (TAP) and Boston Beer Company (SAM) have the smallest of the set at roughly $9B and $2B. The global brand presence and distribution channels of large players like KO and PEP expand revenue streams and allow these companies to take advantage of surging demand in fast-growing emerging markets and lower borrowing costs. As a result, there is an almost linear relationship between company size and revenue, with the larger brands commanding a wider customer base and vice versa. Additionally, there is also some correlation between employee count and market capitalization, as the larger brands need a bigger employee base to function effectively. However, there is also a wide range of employee efficiency as companies with similar employee counts have substantially different revenue per employee numbers. PEP has the lowest revenue per employee of the set at $0.29M while employing the largest workforce of ~319K employees. Due to the necessity of food and beverage products, this comparable universe trades with relatively low average beta compared to other sectors of 0.54. The most volatile company in the set is Celsius (CELH), with a beta of 0.97, well above the group average. Despite having the lowest TTM revenue and employee count of around $1.4B and 1,000, CELH maintain an extremely high revenue per employee of $1.26M.



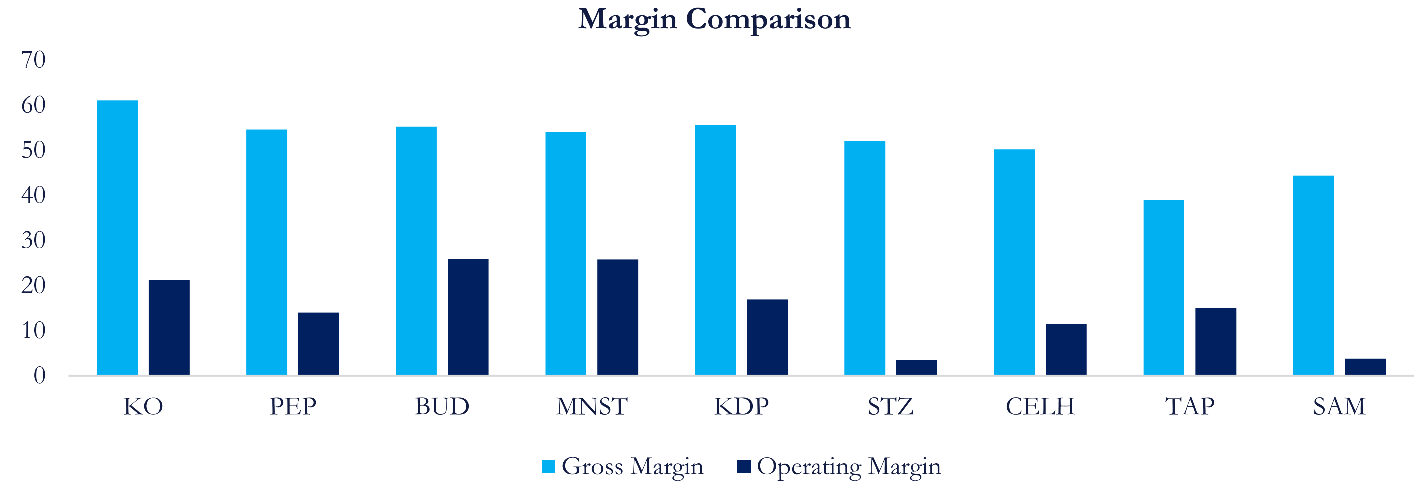
Sources: Bloomberg

PROFITABILITY

$ in millions of USD (As of Q3 2025)

Company	Gross Margin	Operating Margin	Profit Margin	EBITDA ($M)	ROA	ROE	Beta
Coca-Cola (KO)	61.06	21.23	26.38	11,429	12.28	45.12	2.88
Pepsi (PEP)	54.55	14.03	12.27	16,835	6.98	37.19	8.16
Anheuser-Busch (BUD)	55.25	25.91	12.03	20,240	3.37	8.94	4.06
Monster Energy (MNST)	54.04	25.76	21.80	2,027	19.55	25.54	1.62
Keurig-Dr. Pepper (KDP)	55.56	16.88	15.43	3,493	2.95	6.29	1.92
Constellation Brands (STZ)	52.06	3.48	34.79	913	5.50	15.91	13.78
Celsius Holdings (CELH)	50.18	11.49	14.87	165	1.85	2.49	0.70
Molson Coors (TAP)	38.99	15.06	10.12	2,597	-8.44	-17.66	5.96
Boston Beer Company (SAM)	44.40	3.77	5.94	179	7.02	9.58	10.96
Lower	50.18	11.49	12.03	913	2.95	6.29	1.92
Median	54.04	15.06	14.87	2,597	5.50	9.58	4.06
Mean	51.79	15.29	17.07	6,431	5.67	14.82	5.56
Upper	55.25	21.23	21.80	11,429	7.02	25.54	8.16

Due to the highly competitive nature of the beverage sector, margins typically remain slim as a result of trade-down risk. Firms do they best to gain as much price control as possible, enabling premiumization strategies and cushioning margins during demand downturns. For example, Coca-Cola (KO) spends heavily on marketing and ad generation to improve global brand presence, fostering consumer loyalty and enabling higher pricing and lower trade-down risk. KOs asset-light franchise model explains their set-high gross margin of 61.06%, whereas BUD and MNST lead in operational efficiency with operating margins of almost 26% each. BUD has generated the highest EBITDA of $20.2B, with PEP and KO also well above $10B each. These 3 companies make up the majority of EBITDA for the comparable set, reflecting their brand dominance and global scale. Minor differences can likely be attributed to business model and asset breakdown of each individual corporation. Despite having a $10B market cap, CELH only generated an annal EBITDA in 2024 of $165M. Their equity valuation reflects serious consumer interest and large growth potential.



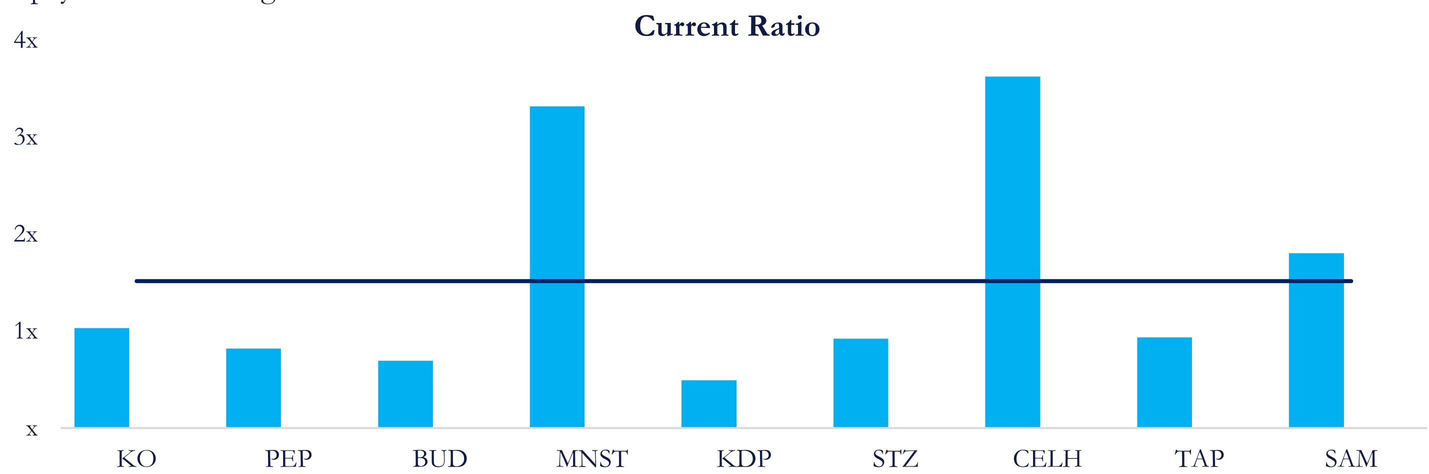
Sources: Bloomberg

LIQUIDITY AND LEVERAGE

$ in millions of USD (As of Q3 2025)

Company	Operating Cash Flow	Current Assets	Total Assets	Current Liabilities	Total Liabilities	Liquidity		Leverage	
						Current Ratio	Cash Ratio	Debt/Equity	Interest Coverage
Coca-Cola (KO)	6,805	25,997	100,549	100,549	74,177	1.03	0.58	1.73	6.03
Pepsi (PEP)	12,507	25,826	99,467	99,467	81,296	0.82	0.29	2.63	14.02
Anheuser-Busch (BUD)	16,137	22,999	206,638	206,638	117,938	0.70	0.34	0.81	4.22
Monster Energy (MNST)	1,929	3,642	7,719	7,719	1,761	3.32	1.40	0.07	69.19
Keurig-Dr. Pepper (KDP)	2,219	3,997	53,430	53,430	29,187	0.49	0.06	0.72	3.53
Constellation Brands (STZ)	3,152	3,716	21,652	21,652	14,518	0.92	0.02	1.70	0.86
Celsius Holdings (CELH)	263	1,325	1,767	1,767	542	3.62	2.44	0.02	N/A
Molson Coors (TAP)	1,910	2,848	26,064	26,064	12,612	0.94	0.32	0.47	5.93
Boston Beer Company (SAM)	249	417	1,250	1,250	334	1.80	0.91	0.04	N/A
Lower	1,910	2,848	7,719	7,719	1,761	0.82	0.29	0.07	3.87
Median	2,219	3,716	26,064	26,064	14,518	0.94	0.34	0.72	5.93
Mean	5,019	10,085	57,615	57,615	36,929	1.52	0.71	0.91	14.83
Upper	6,805	22,999	99,467	99,467	74,177	1.80	0.91	1.70	10.03

The analysis of liquidity and leverage ratios of the comparable beverage companies gives insight into the company's financial health, operational approach, and exposure to idiosyncratic risk. Above is the comparable company's current ratios, representing how well a company can pay off its short-term debts. From the chart, one can see that Celsius (CELH) holds a current ratio of 3.62, well above the comparable median of 0.94. In the CPG industry, current ratios tend to be lower due to very quick inventory turnover. Celsius also has a low debt to equity ratio at .02, further explaining the current ratio. From this, one can deduct that Celsius funds company growth through internal cash, rather than taking on debts. The current ratios for KO, PEP, TAP, and STZ are all within proximity to the median, representing normal current asset to current liabilities holdings. Keurig Dr. Pepper (KDP) has a current ratio 0.49, due to consistently prioritizing high debt to fund M&A. Following current ratio, the interest coverage ratio is observed. Excluding the outlier of Monster Energy (MNST), Pepsi (PEP) leads the way with the highest interest coverage ratio at 14.02. They are followed by Coca-Cola (KO) at 6.03. Compared to the industry median, the EBIT of these two companies, in relation to interest expense, is much greater. KO and PEP are better equipped to pay off outstanding debts.



Sources: Bloomberg

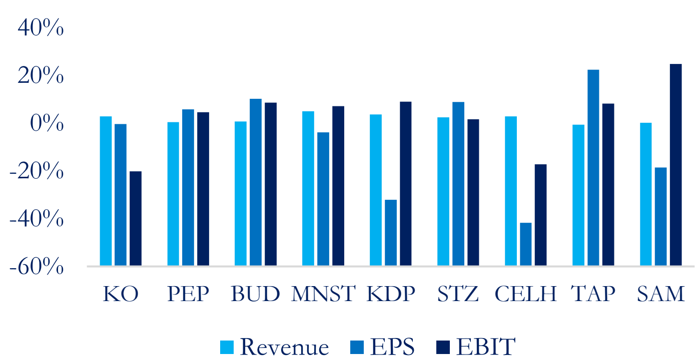
VALUATION AND GROWTH

$ in millions of USD

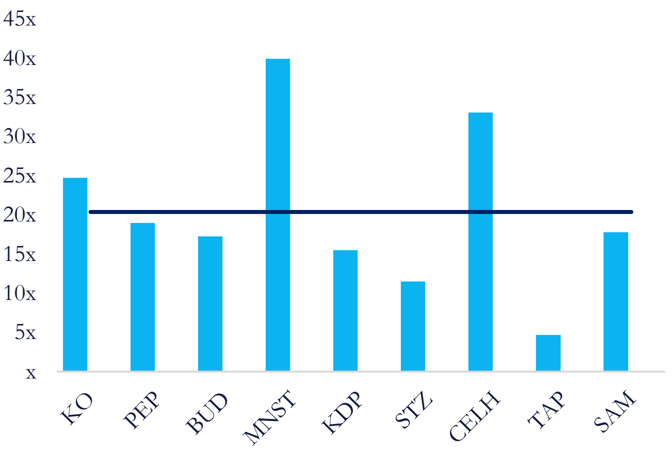
Company	Valuation Metris					Growth (YoY%)		
	EV/ EBITDA	EV/FCF	Price/ Book	Price/ Earnings	Price /Sales	Revenue	EPS	EBIT
Coca-Cola (KO)	22.15	62.51	10.07	24.71	6.60	2.86	-0.40	-20.16
Pepsi (PEP)	18.14	36.20	10.50	18.96	2.21	0.42	5.77	4.60
Anheuser-Busch (BUD)	10.06	12.93	1.49	17.26	2.10	0.65	10.19	8.55
Monster Energy (MNST)	29.85	35.48	9.46	39.90	9.17	4.94	-3.85	7.11
Keurig-Dr. Pepper (KDP)	14.96	30.62	1.50	15.50	2.34	3.62	-32.05	9.06
Constellation Brands (STZ)	13.00	18.74	3.18	11.49	2.53	2.48	8.85	1.65
Celsius Holdings (CELH)	103.59	23.62	8.77	33.04	4.89	2.85	-41.77	-17.21
Molson Coors (TAP)	6.70	13.10	0.89	4.68	0.84	-0.64	22.45	8.22
Boston Beer Company (SAM)	8.78	8.32	2.29	17.77	1.10	0.21	-18.62	24.80
Lower	10.06	13.10	1.50	15.50	2.10	0.42	-18.62	1.65
Median	14.96	23.62	3.18	17.77	2.34	2.48	-0.40	7.11
Mean	25.25	26.83	5.35	20.37	3.53	1.93	-5.49	2.96
Upper	22.15	35.48	9.46	24.71	4.89	2.86	8.85	8.55

MNST shows the greatest YoY revenue growth of the companies within the beverages sector. However, it still sits within the traditional growth rates for consumer staples. Trailing behind MNST is KDP with 3.62% revenue growth, driven by energy drinks and sports drinks, highlighted by the acquisition of Ghost Energy. Lagging in this sector is TAP, hurt by softening consumer demand for alcoholic beverages and a lack of demand for Coors Edge, their 0% version. Overall, revenue stays consistent for the beverages sector, very rarely deviating from this low single digits growth rate. Regarding EPS growth, TAP leads these comparable companies primarily due to their ongoing $2B share buyback authorized in October 2023.

Growth YoY%



P/E Ratio



MNST and CELH have much higher P/E ratios at 39.9x and 33.04x, respectively, compared to the industry median of 17.77x. One can see this high P/E as recent popularity within these companies' product offering. In CELH's case, a high EV/EBITDA ratio combined with a high P/E ratio likely indicates that this company is overvalued compared to its peers. CELH has driven revenue through a drastic increase in the CELH brand and acquisition of Alani Nu. The two lowest P/E ratios are from TAP and SAM, with the expectation of slower growth for these companies due to macroeconomic conditions.

BULL & BEAR RESEARCH

Comparable Company Analysis: Household Goods

PEER UNIVERSE: HOUSEHOLD GOODS

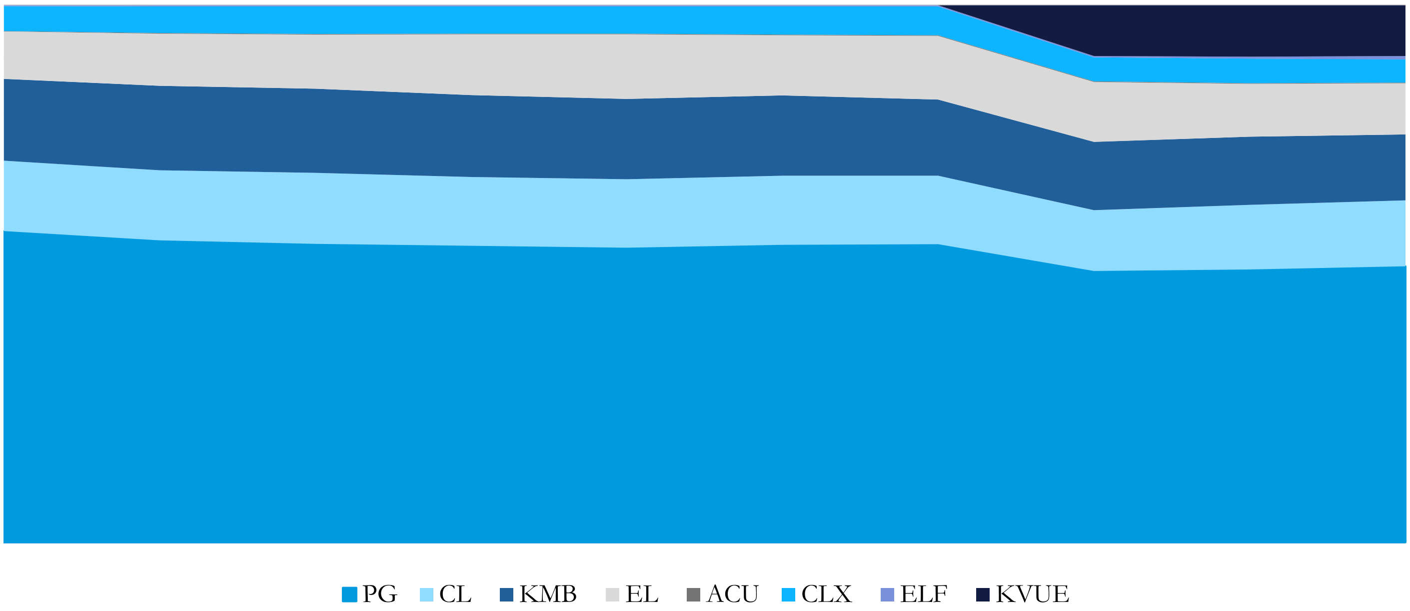
Logo	Company	Ticker	Description	Market Capitalization ($M)
	The Proctor & Gamble Company	PG	The company provides products globally in the laundry and cleaning, paper, beauty care, food and beverage, and health care segments.	346,210
	Colgate-Palmolive Co.	CL	Global consumer products company with products like toothpaste, toothbrushes, shampoos, deodorants, bar and liquid soaps, dishwashing liquid, laundry products, and pet nutrition products for cats and dogs.	64,800
	Kimberly-Clark Corp.	KMB	The company's products include diapers, tissues, paper towels, incontinence care products, surgical gowns, and disposable face masks.	36,212
	The Estee Lauder Companies Inc.	EL	Global producer and manufacturer of a wide range of skin care, makeup, fragrance, and hair care products.	33,899
	Kenvue	KVUE	Offers a consumer health portfolio in self-care, skin, beauty, and essential health products globally.	33,239
	The Clorox Company	CLX	Manufactures and markets consumer products sold primarily through grocery and other retail stores in the United States and LATAM. Products include household cleaning and bleach products, charcoal, cat litter, dressings and sauces, natural personal care, and trash bags.	13,167
	e.l.f.	ELF	Global cosmetic company offering beauty products such as eyeliners, lipsticks, creams, brushes, powder, and skin care products for eyes, lips, face, and paw.	4,543
	Acme United Corp.	ACU	Supplies cutting, measuring, and safety products for the school, home, office, and industrial markets globally. The company produces shears, scissors, rulers, first aid kits, utility knives, and others.	141

This comparable company set represents the household sub-vertical of the consumer-packaged goods space, encompassing most core household necessities, including personal care, beauty, first aid, cleaning, hygiene, laundry, and niche products such as paper supplies. Smaller companies like ELF and ACU illustrate the growth potential for expansion-focused investors, while large-cap peers serve as benchmarks for the terminal growth rates smaller firms may reach as markets mature. Comparing companies across different sizes provides insight into how cost structures and pricing dynamics evolve with scale. Large players such as PG, CL, and EL benefit from significant economies of scale, but their broader customer base often results in lower pricing power and margins. In contrast, companies like ACU and ELF operate in narrower, less competitive niches, allowing them to maintain higher margins despite fewer scale advantages. Two common themes emerge across all eight companies: strong competitive moats driven by brand equity and financial performance closely tied to broader economic conditions. This peer set serves a global consumer base, with the majority of sales occurring in the U.S. Additionally, smaller firms such as ELF and ACU compete directly with niche brands within larger conglomerates, offering insight into the growth drivers of the larger businesses.

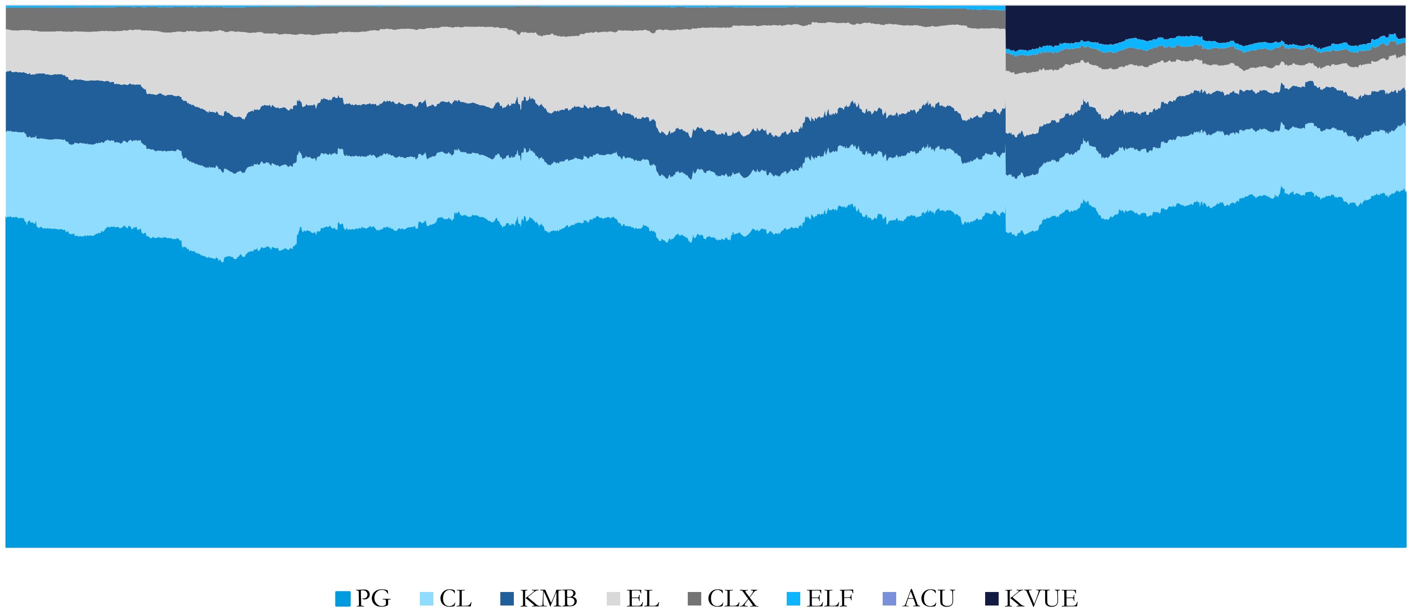
Sources: Bloomberg, Forbes

MARKET SIZE

10-Yr Revenue



10-Yr Market Capitalization



The two charts above show the relative positioning of each company's revenue and market capitalization to the others in the comparables set. This analysis helps determine which companies are overvalued - higher market cap than revenue - and which are undervalued - higher revenue than market cap. PG is overvalued based on this analysis since it has a larger share in market cap than revenue. It also has a slightly increasing market cap position while it is starting to lose share in its revenue. EL was the most largely impacted by KVUE entering the market in 2022 whereas the rest of the companies in the set remained consistent. KVUE's relative market capitalization has decreasing while revenue remained constant, meaning either the market is perceiving the company as less valuable, or it is starting to trade closer in line to its valuation, which is more likely. ELF has a slightly increasing revenue position, and it is undervalued. KMB has larger share of revenue than market cap, so it is undervalued in the market. EL has a smaller relative position in market cap than in revenue meaning that it is undervalued.

Sources: Bloomberg

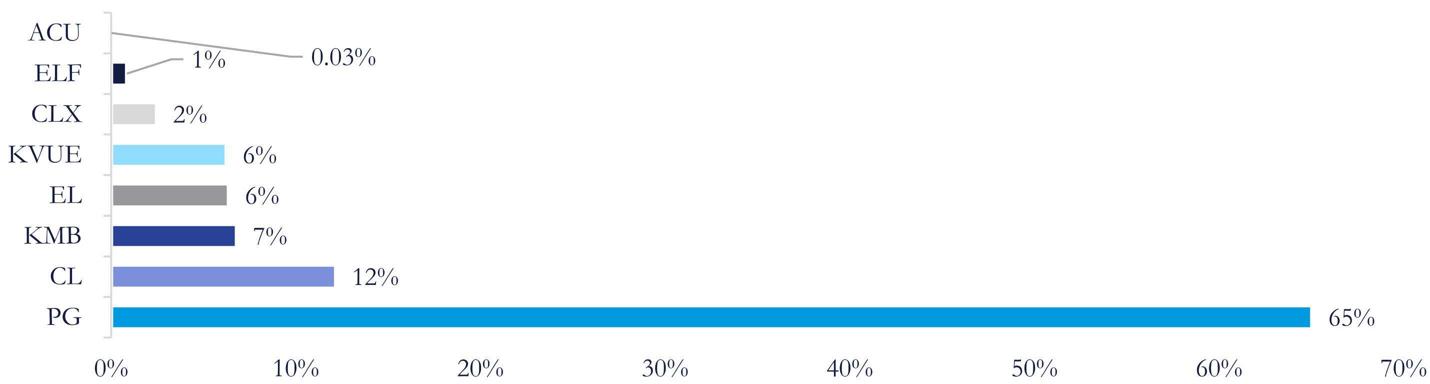
HOUSEHOLD GOODS INFORMATION

$ in millions of USD (As of Q3 2025)

Company	Mkt. Cap	Enterprise Value	Share Price	Revenue	Employees	Revenue/ Employee	Adjusted EPS
P&G (PG)	346,210	372,036	372,036	84,284	109,000	0.77	7.08
Colgate-Palmolive Co (CL)	64,800	72,129	72,129	20,101	34,000	0.59	3.65
Kimberly-Clark Corp (KMB)	36,212	43,035	43,035	20,058	38,000	0.53	5.76
Estee Lauder Companies (EL)	33,899	41,102	41,102	14,326	40,470	0.35	1.12
Kenvue Inv (KVUE)	33,239	41,199	41,199	15,455	22,000	0.70	1.07
Clorox Co (CLX)	13,167	16,239	16,239	7,104	7,600	0.93	7.19
e.l.f Beauty (ELF)	4,543	5,266	5,266	1,314	633	2.08	2.13
Acme United Corp (ACU)	141	171	171	194	633	0.31	2.45
Lower	11,011	13,495	13,495	5,656	5,858	0.48	1.88
Mean	33,569	41,151	41,151	14,891	28,000	0.65	3.05
Median	66,526	73,897	73,897	20,355	31,542	0.78	3.81
Upper	43,359	50,309	50,309	20,069	38,618	0.81	6.09

Unlike market capitalization, enterprise value incorporates debt and excludes cash, making it a more comprehensive valuation metric. PG is the largest company by both measures, with a market capitalization of $346.21B and an enterprise value of $372.04B—over five times larger than CL, the second-largest company with an enterprise value of $72.13B. PG is the dominant global player, supported by diversified brands and operations, and also leads the group in LTM revenue at $84.28B, nearly four times the peer average. KMB and EL follow CL in both market capitalization and enterprise value at approximately $40B each; while KMB has a similar market cap and workforce size to EL, it generates about 40% more revenue, indicating stronger operational efficiency, and also posts a relatively high adjusted EPS of 5.76 with a moderate beta of 0.45, positioning it as a stable and profitable peer. Despite being one of the smallest companies in the set, ELF has the highest revenue per employee at $2.08—well above the group median of $0.65—highlighting an efficient, high-margin, low-labor business model, whereas PG generates only $0.77 per employee, reflecting the labor intensity of its large-scale manufacturing and distribution operations. Overall, the group spans large-scale leaders like PG, CL, and KMB, mid-sized firms such as EL and KVUE, and smaller niche players like ELF and ACU, with the average enterprise value of $73.9B heavily skewed by PG's scale.

Market Capitalization



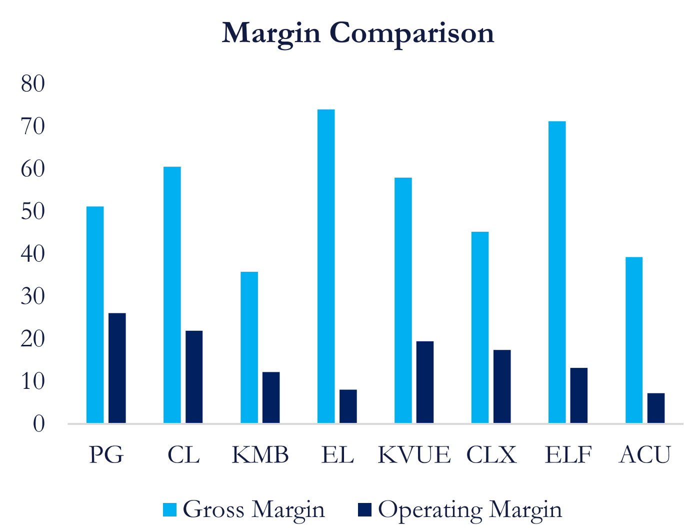
Sources: Bloomberg

PROFITABILITY

$ in millions of USD (As of Q3 2025)

Company	Gross Margin	Operating Margin	Profit Margin	EBITDA ($M)	ROA	ROE	Beta
P&G (PG)	51.16	26.10	20.61	251.23	12.28	14.03	0.43
Colgate-Palmolive Co (CL)	60.50	21.91	14.94	51.51	6.98	18.51	0.39
Kimberly-Clark Corp (KMB)	35.80	12.20	9.68	33.81	3.37	11.46	0.45
Estee Lauder Companies (EL)	73.97	8.07	2.81	24.81	19.55	1.94	1.19
Kenvue Inv (KVUE)	57.97	19.44	13.29	36.74	2.95	7.68	0.36
Clorox Co (CLX)	45.23	17.44	12.57	15.57	5.50	15.79	0.47
e.l.f Beauty (ELF)	71.24	13.18	9.47	2.29	1.85	10.47	1.74
Acme United Corp (ACU)	39.26	7.27	5.15	0.22	-8.44	6.44	0.78
Lower	43.74	11.17	8.39	12.25	2.95	7.37	0.42
Mean	54.56	15.31	11.13	29.31	5.50	10.96	0.46
Median	54.39	15.70	11.07	52.02	5.67	10.79	0.73
Upper	63.18	20.06	13.70	40.43	7.02	14.47	0.88

Each company in our comparables set exhibit strong gross margins – with the lowest being 35.80% (KMB) and the highest being 73.97% (EL). The average gross, operating, and average profit margins were 54.39%, 15.31%, and 11.13% respectively. This highlights the sheer level of profitability in certain sectors within the consumer vertical, especially in businesses with higher pricing power. Contrary to belief that the niche and smaller firms will be able to command a higher margin, we see a very varied distribution. Interestingly, Estee Lauder (EL) is the company with the highest gross margins (73.97%) as well as the lowest profit margins (2.81%). However, we can determine that the low net income margins for EL were due to intangible asset write-downs of ~11.3% of revenue. Adjusting for this, we see that it aligns closer with its peers in consumer discretionary (beauty). When looked into further, brands like PG and CL demonstrate stable, defensive margin profiles over time while the smaller consumer discretionary firms like EL show higher margin volatility tied to brand cycles and write-downs. Average gross and operating margins are 54.39% and 15.70%. This is a competitive set of margins as consumer companies generally operate on thin margins because there is less differentiation in the sector. The margin comparison graph does not indicate any clear pattern based on company size. However, in line with the brands that cater to a niche audience have the options to charge a higher price, inflating their margins. Beauty companies tend to have a sticky user base allowing higher prices. EL and ELF have the highest gross margins on this list at 73.97% and 71.24%, showing the profitability of the vertical. ROA and ROE show great variability in the consumer sector, ranging from low single digits to the high-teens. Companies like CL and PG prove that moderate margins can generate strong ROE and ROA metrics.



Sources: Bloomberg

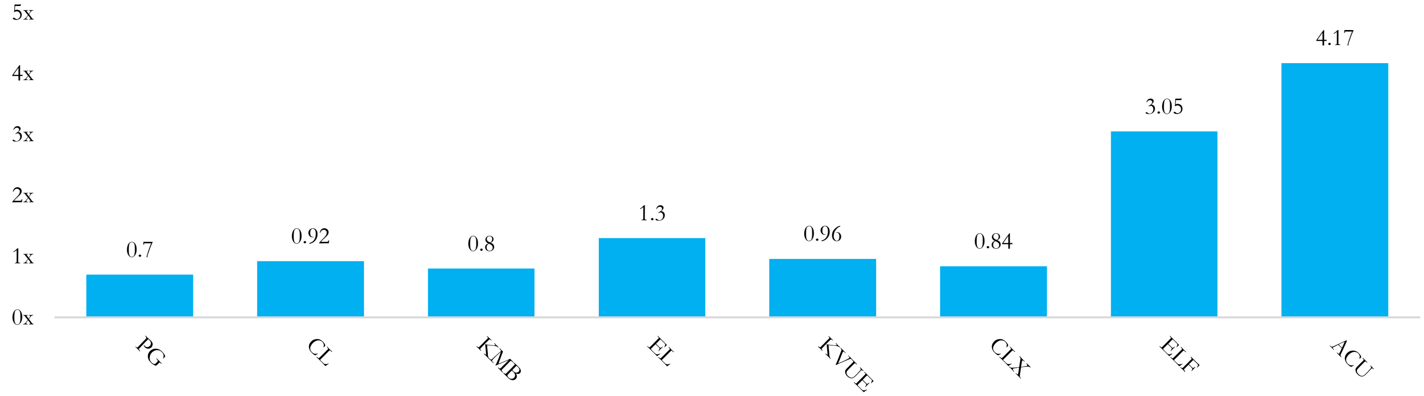
LIQUIDITY AND LEVERAGE

$ in millions of USD (As of Q3 2025)

Company	Operating Cash Flow	Current Assets	Total Assets	Current Liabilities	Total Liabilities	Liquidity: Current Ratio	Liquidity: Cash Ratio	Leverage: Debt/Equity	Leverage: Interest Coverage
P&G (PG)	17.82	25.39	125.23	36.06	72.95	0.70	0.27	0.68	29.73
Colgate-Palmolive Co (CL)	4.11	5.32	16.05	5.76	15.50	0.92	0.22	15.65	20.86
Kimberly-Clark Corp (KMB)	3.23	5.58	16.55	7.00	15.53	0.80	0.15	7.79	9.55
Estee Lauder Companies (EL)	1.27	7.07	19.89	5.43	16.03	1.30	0.54	2.45	10.60
Kenvue Inv (KVUE)	1.77	5.53	25.60	5.74	15.93	0.96	0.19	0.90	7.61
Clorox Co (CLX)	0.98	1.61	5.56	1.92	5.08	0.84	0.09	6.05	11.20
e.l.f Beauty (ELF)	0.13	0.54	1.25	0.18	0.49	3.05	0.84	0.41	0.84
Acme United Corp (ACU)	0.01	0.10	0.16	0.02	0.06	4.17	0.28	0.31	8.60
Lower	0.77	1.34	4.48	1.48	3.93	0.83	0.18	0.61	8.35
Mean	1.52	5.42	16.30	5.59	15.52	0.94	0.24	1.68	10.08
Median	3.67	6.39	26.29	7.76	17.70	1.59	0.32	4.28	12.37
Upper	3.45	5.95	21.32	6.07	15.96	1.74	0.34	6.48	13.62

The chart represents liquidity and leverage metrics that reflect each company's market positioning and operational approach. ACU's high Current Ratio and Cash Ratio highlight its strong cash reserves and low debt positioning. This structure allows its capital-intensive focus on surgical expansion to support itself. Similar to the previous slides, the smaller, faster growing and niche companies show slightly more conservative leverage in their ratios. Looking at the comparables companies as a whole, we can see a clear differentiation in the growth strategies companies have adopted by looking at their D/E. For example, CL has the highest D/E ratio is 15.65x aggressive share buyback programs systematically reducing equity, while a company like KVUE has only done only 2 over the last 5 years, and thus has not had to change its capital structure greatly to finance acquisitions. The median D/E of 1.68x of the comparable universe indicates balanced financial leverage as a trend in the household goods sector. Finally, we notice a trend of the smallest companies, ELF and ACU, with nearly half the D/A ratio as those of the rest of the peer group. This further strengthens the conservative approach to growth by fund expansion through internally generated cash flow rather than debt. Finally, the current ratio for the larger firms clustering around 0.8x to 1.0x indicates the industry standard for maintaining just enough liquidity, while companies in the growth stag have to have a larger buffer. When transitioning to the cash ratio, we see the cash ratio is significantly smaller for ELF and ACU as compared to their current ratio. This leads to the conclusion that growing companies in this space tend to maintain higher inventory to address the rapidly increasing demand.

Current Ratio



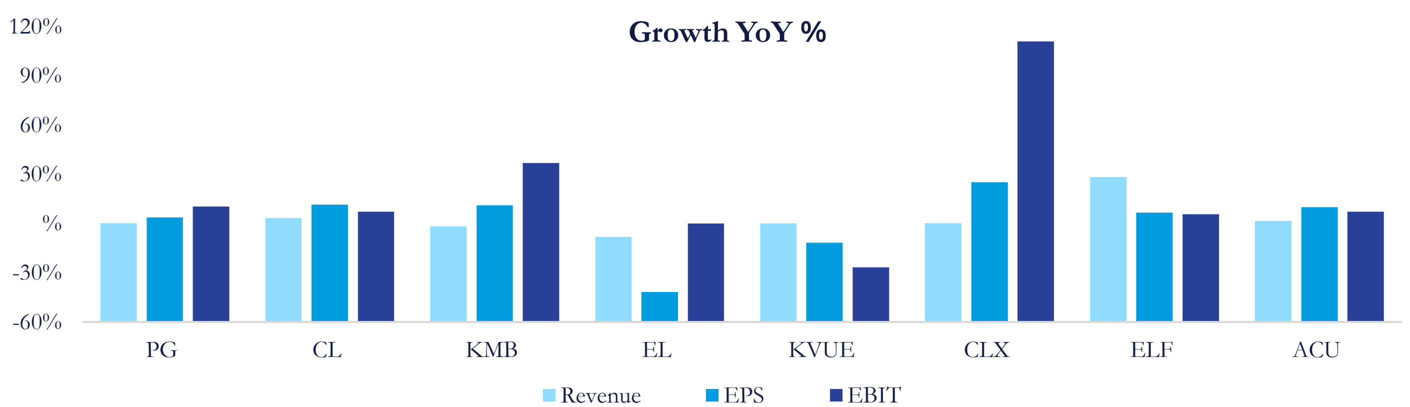
Sources: Bloomberg

VALUATION AND GROWTH

$ in millions of USD

Company	Valuation Metris					Growth (YoY%)		
	EV/ EBITDA	EV/FCF	Price/ Book	Price/ Earnings	Price /Sales	Revenue	EPS	EBIT
P&G (PG)	15.91	24.90	6.61	21.64	4.13	0.29	3.64	10.28
Colgate-Palmolive Co (CL)	14.77	20.95	75.70	22.13	3.25	3.31	11.46	7.13
Kimberly-Clark Corp (KMB)	12.80	25.74	26.46	17.75	2.01	-1.83	11.11	36.95
Estee Lauder Companies (EL)	126.08	39.33	8.71	74.54	2.35	-8.21	-41.70	N/A
Kenvue Inv (KVUE)	14.06	25.23	3.13	19.05	2.22	0.07	-11.63	-26.71
Clorox Co (CLX)	12.99	25.53	N/A	15.44	1.96	0.16	25.12	110.94
e.l.f Beauty (ELF)	26.00	37.09	3.97	43.06	3.12	28.28	6.60	5.58
Acme United Corp (ACU)	7.44	26.93	1.22	15.16	0.72	1.56	9.87	7.21
Lower	12.94	25.15	3.55	17.17	2.00	-0.40	-0.18	6.35
Mean	14.41	25.64	6.61	20.35	2.28	0.22	8.23	7.21
Median	28.75	28.21	17.97	28.60	2.47	2.95	1.81	21.62
Upper	18.43	29.47	17.58	27.36	3.15	2.00	11.20	23.61

ACU has the lowest EV/EBITDA multiple at 7x indicating that the market has lower growth expectations and potential concerns. EL has a premium EV/EBITDA multiple of 126x reflecting market confidence in significant future growth. PG, CL, and KMB cluster efficiently between 12-16x EV/EBITDA, demonstrating mature operational profiles. ELF displays elevated ratios at 24x EV/EBITDA and 39x EV/FCF, reflecting high growth expectations. Looking at P/E ratios, EL leads with 72x, significantly above the group median of 20x, while ELF follows at 45x. Colgate's 74x Price/Book ratio stands out, suggesting either exceptional asset efficiency or accounting anomalies, while most peers trade at 3x to 8x book multiples except for KMB at 25x. This universe shows two distinct tiers: premium beauty companies (EL, ELF) commanding growth multiples, and traditional household products companies (PG, CL, KMB, CLX) trading at more conservative but not concerningly low valuations, reflecting steady but modest growth expectations. ELF demonstrates the strongest revenue expansion at 28%, significantly outpacing traditional consumer staples which cluster around flat to low-single digit growth. EL and KMB have revenue contractions of -8.21% and -1.83% respectively indicating weakening demand or competitive pressure. While KMB shows modest revenue decline, it maintains strong EPS growth of 11.11%, indicating effective margin expansion and cost management. CL displays the most dramatic operational improvements with EBIT growth of 110.94% despite modest 0.16% revenue growth, suggesting significant margin improvements and recovery following operational disruptions following their 2023 cyberattack.



Sources: Bloomberg, Reuters

BBR BULL & BEAR RESEARCH

Initiating Coverage: The Coca-Cola Company

BBR BULL & BEAR RESEARCH

The Coca-Cola Company (NYSE: KO)

Coca-Cola is a large multinational beverage company that was founded in 1892 and is headquartered in Atlanta. They are a world leader in the production and marketing of soft drinks and nonalcoholic beverages.

Differentiation and Strategy

Coca-Cola (KO) separates themselves from other beverage manufactures through a variety of channels, most notably their unmatched brand equity. KO employs long-term franchise agreements with independent bottlers, effectively outsourcing manufacturing, distribution, and related logistics. This asset-light franchise model allows KO to focusing their spending on ad generation and marketing, which has supported the expansion and retention of their worldwide brand presence. Additionally, their relationships with significant retailers has helped the company win valuable shelf space for their products, pushing out smaller brands creating and extremely challenging environment for new entrants. Their "total beverage" portfolio has increased revenue generation with a variety of flavors and products and has insulted overall product demand from shifting consumer tastes. Furthermore, KO uses M&A as well as internal product development to continuously augment their already-vast portfolio. This combination of an asset-light model, global scale, and a significant brand and shelf presence translates into durable pricing power and industry-leading margins.

Financial Performance

Coca-Cola (KO) most recently reported 2024 revenue of $47.1B, up roughly 2.5% YoY despite flattening consumer demand. Fueling this increase was a growing international segment, which now accounts for over 60% of total revenues. Additionally, LTM gross profit and EBITDA margins expanded to 62% and 34% respectively, reflecting increased price control and consumer inelasticity for KO products.

Recent Acquisitions

1. Billson's (Jan 2025) – bought RTD brands and related assets
2. BODYARMOR (Nov 2021) – $5.6 B for remaining 85% stake
3. Fairlife (Jan 2020) – $980M for remaining 58% stake
4. Chi Ltd (Jan 2019) – $250M for remaining 60% stake
5. Costa Coffee (Jan 2019) – $5.1B full acquisition

Considerations

As of late, Coca-Cola (KO) has focused portfolio changes on divestitures and refranchising of bottling operations and assets as opposed to new brand acquisitions. They will continue to prioritize brand presence through continued substantial marketing spend, reinforcing price control and customer loyalty.

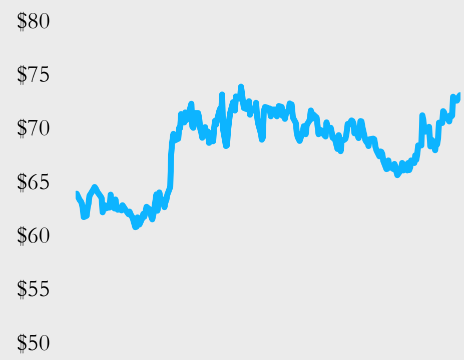
Bull & Bear Research

Consumer| Consumer Packaged Goods

12/4/2025

Stock Rating	**Buy**
BBR Price Target	$**80.77**
Price (12/4/25)	$70.67
Ticker	KO
Exchange	NYSE

52 Week Range	$60.62-74.38



Research Team

Angie Dulin – Director

Jade Chan – Associate

Stephen Corrou – Analyst

Andrew Marotta – Analyst

Jaiveer Kumar – Analyst

Ratios

	KO	**Peers**
Current Ratio	1.03	0.82
Adjusted EPS	2.88	4.06
P/E	24.71	15.50

Stock Information

Market Cap (B)	$314.5
Shares Outs. (mm)	4,301
Free Float	99.3%
Dividend Yield	2.88%

Sources: Bloomberg, Coca-Cola

CATALYSTS

A "Total Beverage Company"

Coca-Cola (KO) refers to themselves as a "total beverage company," now with over 30 unique billion-dollar brands in 2025. KO has been able to amass such a large product portfolio due to their business model and aggressive acquisition strategy. The wide variety of brands and products in their portfolio has led overall volume growth to increase at a higher rate than the industry standard. Additionally, the large range of offerings has improved customer loyalty and limited-trade down risk significantly. As customer tastes shift, they have the option to switch to other flavors and brands while not leaving the KO product ecosystem entirely. This increased retention is a gamechanger for KO and will continue to support margins in times of low demand.

Environmental and ESG-related Goals

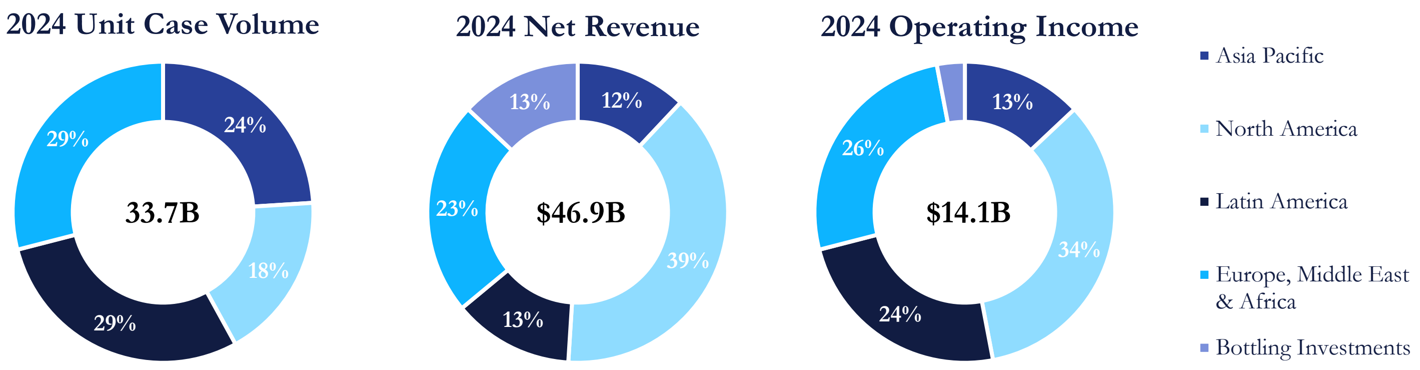
As sustainability and ESG-related concerns are becoming increasingly prevalent with investors and consumers, KO has committed to goals to improve the environmental impact of their products. KO aims to return 100% of the water used in finished products globally to nature and communities. Regarding packaging, they want to recycle over 40% of can and collect 75% back by 2030. This enhanced and continued ESG implementation and improvement creates a massive appeal to investors and consumers that are concerned with these issues, driving new demand and most importantly product loyalty. KO's commitment to ESG and the environment allows them to stand out from competitors in the large beverage industry.

International and Emerging Markets

Coca-Cola (KO) refers to themselves as a "total beverage company," now with over 30 unique billion-dollar brands in 2025. KO has been able to amass such a large product portfolio due to their business model and aggressive acquisition strategy. The wide variety of brands and products in their portfolio has led overall volume growth to increase at a higher rate than the industry standard. Additionally, the large range of offerings has improved customer loyalty and limited-trade down risk significantly. As customer tastes shift, they have the option to switch to other flavors and brands while not leaving the KO product ecosystem entirely. This increased retention is a gamechanger for KO and will continue to support margins in times of low demand.

Brand Strength

Consumer staples are historically stable, low margin products with little flexibility in pricing. To stand out in this competitive field, Coca-Cola (KO) pours roughly 6% of total revenues into marketing spend, creating famous ad campaigns like the "share a coke" or Olympic advertisements. This is made possible by their asset-light franchise model and has created worldwide recognition for KO products. Not only has this improved their success for entering emerging markets, but it has improved their price control and limited trade-down risk. This has been reflected by their organic revenue growth rate, which is up 5-6% throughout 2025 despite flattening volume demand. Unmatched brand equity resulting from marketing spend places a premium on KO products, bolstering their top and bottom line.

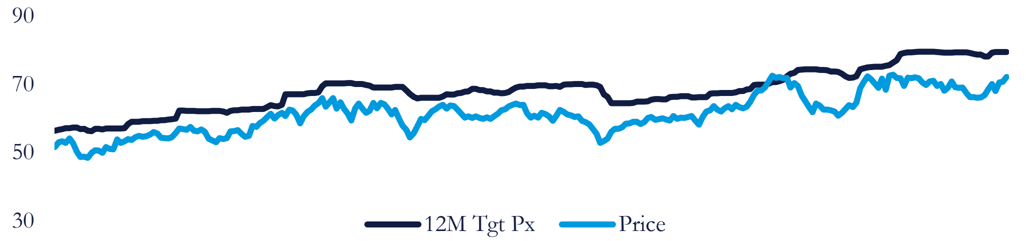


ALTERNATIVE VALUATIONS

Consensus Rating

Average Price Target: $79.44

Price Analysis (3Y, USD)



Firm	Analyst	Date	Analyst Rating	Price Target
BBR	Consumer Coverage	**12/4**	**Buy**	**$80.77**
Deutsche Bank	Stephen Powers	11/11	Buy	$82.00
citi	Filippo Falorni	11/07	Buy	$85.00
Morgan Stanley	Dara W Mohsenian	11/05	Overweight	$81.00
Rothschild & Co	Charlie Higgs	10/28	Buy	$78.00
Evercore	Robert E Ottenstein	10/24	Outperform	$82.00
HSBC	Carlos A Laboy	10/22	Buy	$82.00
Goldman Sachs	Bonnie Herzog	10/21	Neutral	$71.00
J.P.Morgan	Andrea Teixeira	10/21	Overweight	$79.00

Select Commentary

Deutsche Bank **Rating:** Buy **Price Target:** $82.00

- Price target increased from 81.00 to 82.00 (+1.2%) and EPS target increased from 2.98 to 2.99 (+0.3%) resulting from positive outlook commentary
- Incremental positive increase as Coca-Cola (KO) reached a definitive agreement to refranchise Coca-Cola Beverages Africa at 10x FY24 EBITDA
- Organic growth rate forecasted to increase +4.7%, volume growth +1.7%
- Projected +3.75% sales growth as well as +5.75% EBIT growth
- Deutsche Bank continues to view KO as a "top staples pick" into next year

Research Team:

Steve Powers
Christopher Barnes, CFA
Nikhil Jain, CFA
Angeline Goh

Sources: Bloomberg, Deutsche Bank

BBR BULL & BEAR RESEARCH

Initiating Coverage: Constellation Brands

Constellation Brands (NYSE: STZ)

Founded in 1945 in Rochester, NY, Constellation Brands (STZ) is a multi-national, alcohol conglomerate. Specializing in beer, wine, and spirits, STZ is a diversified brand in the broader alcohol sector.

Differentiation and Strategy

STZ's strategy is rooted in dominance of the imported beer market within the United States. By revenue, Modelo is the overall number one beer in the country, a spot it gained in April 2023. Regarding imported beers, Corona comes in second, behind Modelo. Differentiation stems from a growing portfolio of high-end alcohol brands. The company holds a greater net profit margins by focusing on higher quality. In the beer category, Corona, Modelo, and Pacifico all charge a premium in comparison to competitors. High West Whisky and Prison Wine Company round out this idea in the wine and spirits category.

Financial Performance

Constellation Brands (STZ) holds TTM revenue of $9,624. The company's FCF/Share ratio sits higher than competitors at $10.35, showing that the company has adequate cash on hand to either reinvest or pay out to shareholders. For comparison, BUD holds a FCF/Share ratio of $5.48. After taking changing consumer preferences into account, STZ has given guidance on a decrease in net sales by 5% for the coming Fiscal Year. The company holds an EBITDA margin of almost 38%, leading competitors and proving the idea of premium value. STZ has proven a stable business model as well as the flexibility to change with the times.

Recent Acquisitions

1. Hiyo (February 2025) – Series A Investment for 19M
2. Sea Smoke (June 2024) – Acquisition for 158.7M
3. Archer Roose Wines (July 2022) – Series A Investment for 10M
4. Austin Cocktails (April 2022) – Undisclosed Acquisition
5. Grupo Modelo (July 2013) – Acquisition for 2.85B

Considerations

Constellation Brand's (STZ) two largest products, Corona and Modelo, are greatly affected by the slowdown in Hispanic spending across the United States. Slowdown in Hispanic spending correlated directly with increase ICE raids. While making up less than 20% of the US population, in 2023, the Hispanic population accounted for 32.5% of STZ's total revenue. Additionally, the broader alcoholic beverages market is recognizing a tangible shift due to changing consumer preferences. Even with this given information, STZ can expect to see strong growth in a competitive market.

Sources: JPMorgan, AP News, Constellation Brands, National Center for Education Statistics

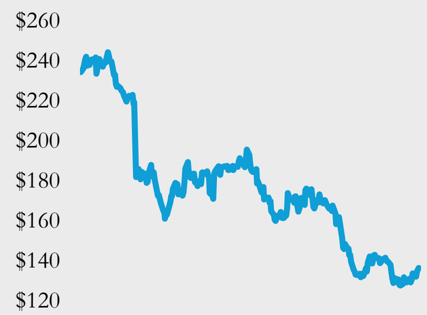
Bull & Bear Research

Consumer| Consumer Packaged Goods

12/4/2025

Stock Rating	**Buy**
BBR Price Target	**$177.00**
Price (12/04/25)	$138.03
Ticker	STZ
Exchange	NYSE

52 Week Range	$126.45-245.31



Research Team

Angie Dulin – Director

Jade Chan – Associate

Stephen Corrou – Analyst

Andrew Marotta – Analyst

Jaiveer Kumar – Analyst

Ratios

	STZ	**Peers**
Current Ratio	0.92	0.94
Adjusted EPS	13.78	5.56
P/E	11.49	17.77

Stock Information

Market Cap (B)	$23.7
Shares Outs. (mm)	175
Free Float	83.1%
Dividend Yield	2.94%

CATALYSTS

Shifting Company Philosophy

Constellation Brands (STZ) has followed this greater consumer shift away from alcoholic beverages. Through the introduction of new products: Corona Sunbrew 0.0% and the investment in zero proof alcohol companies: Tost, HOPWTR, and Hiyo, Constellation Brands (STZ) has successfully adapted with consumer health trends. The second trend that the company is currently grappling with is the softening of Hispanic spending in the United States. CEO Bill Newlands said, "social gatherings, an area where the Hispanic consumer often consumes beer, are declining today as part of these overarching concerns." Because of this fact, Constellation Brands (STZ) has adjusted company philosophy to incorporate greater investment in smaller, premium brands like Sea Smoke and zero proof alternatives. The company hopes that these smaller investments will diversify the revenue problems that are coming from their biggest brands.

Growth of Hispanic Population

As the Hispanic population is a main driver in revenue of STZ's imported beer brands, growth in the Hispanic population in the United States and the increase in percentage of those of drinking age is crucial to the growth of the company. The Hispanic population is the fastest growing in the US, accounting for 71% of total growth. From 2022-2023, this represented an annual growth rate of 1.8%. On top of this growt, the Hispanic population has a younger median age than the non-Hispanic population by more than 11 years. Through this, more of the Hispanic population is quickly coming of drinking age. STZ can expect this to drastically increase revenue once macro conditions improve. As the Hispanic population is the greatest percentage of revenue, this should be seen as a catalyst for growth.

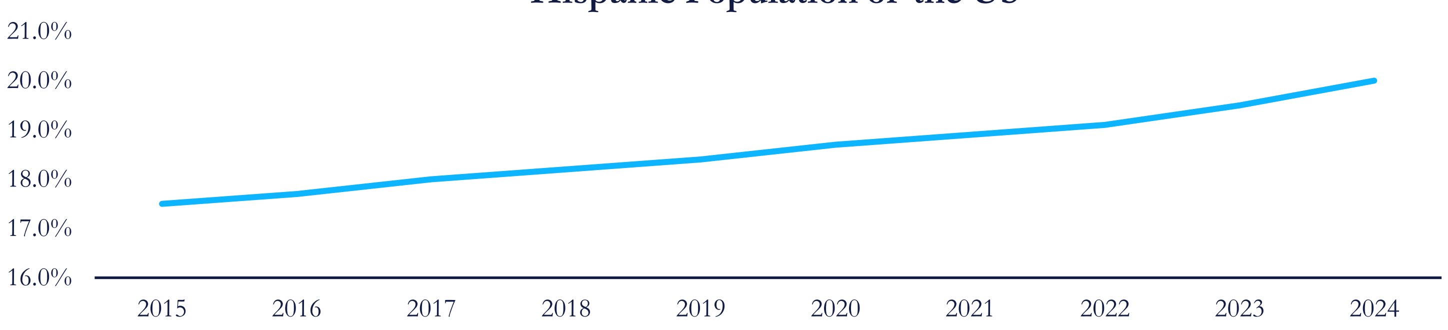
Tariff Risk Associated with Mexico

The beer names in Constellation Brands' (STZ) portfolio are produced in Mexico, primarily the states of Coahuila and Sonora, for close access to the US border. Mexico did not face initial tariffs on "Liberation Day" but has since seen a 50% tariff on all imported aluminum. This cuts directly into the profitability of STZ's business model. Constellation Brands has adapted by pushing some of this extra cost onto the consumer. Currently, this is seen as a catalyst hurting expectations for future growth of Constellation Brands. This risk is being reflected in the current price of STZ. STZ has not given guidance on if they are planning to move any beer production to the United States. When macro conditions improve and tariff risk subsides, the price of STZ will reflect this change. Through the shifting company philosophy, STZ has worked to incorporate American made brands into their portfolio, looking to offset the effects of the tariffs on Mexico.

Focus on Premiumization

Constellation Brands (STZ) has increased focus on the premium brands in their portfolio. While the imported beers in their portfolio are lacking, they have shifted their focus to Kim Crawford Wine, The Prisoner Wine Company, and Casa Noble Tequila. This results in better margins and the ability to drive revenue in a poor macro environment. This idea goes along with the broader consumer trend of drinking less but higher quality. Consumers are choosing to trade up to a more premium option, STZ has recognized this trend. The company has made considerable investments in craft cocktail companies and higher quality wines. STZ has changed their investment philosophy to include these higher quality companies in their portfolio to accommodate these changing consumer preferences.

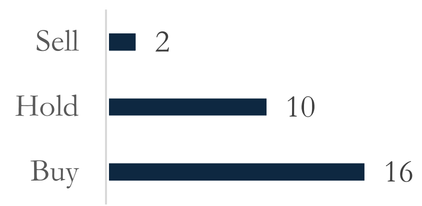
Hispanic Population of the US



Sources: JPMorgan, AP News, Constellation Brands, National Center for Education Statistics

ALTERNATIVE VALUATIONS

Consensus Rating	Price Analysis (3Y, USD)



Average Price Target: $171.38

Firm	Analyst	Date	Analyst Rating	Price Target
BBR	Consumer Coverage	12/4	**Buy**	$177.00
PIPER SANDLER	Michael S Lavery	11/20	Neutral	$135.00
TD Bank	Robert Moskow	11/13	Hold	$132.00
BNP PARIBAS	Kevin Grundy	11/12	Underperform	$118.00
BERNSTEIN SOCIETE GENERALE GROUP	Nadine Sarwat	11/11	Outperform	$195.00
EVERCORE	Robert E Ottenstein	11/10	Outperform	$170.00
J.P.Morgan	Drew Levine	11/07	Neutral	$153.00
WELLS FARGO	Chris M Carey	11/06	Overweight	$155.00
BARCLAYS	Lauren Liberman	10/20	Equal weight	$147.00

Select Commentary

Wells Fargo **Rating:** Overweight **Price Target:** $155.00

- Upside scenario of $240, trading back near historical highs if Constellation Brands (STZ) can regain past revenue growth; Will be done through improving macro conditions
- Constellation Brands (STZ) is outperforming peers in number of cases produced of both beer and liquor/wine sectors by 3.1% in LTM
- Predicting consistent top-line growth even in worst cases as team is expecting volume growth in alcoholic beverages sector

Research Team:

Chris Carey
Joe Lachky, CFA
Marc Torrente, CFA, CPA
EVE Ticktin
Michael Ruch

Sources: Bloomberg, Wells Fargo

BBR BULL & BEAR RESEARCH

Initiating Coverage: Colgate–Palmolive

Colgate-Palmolive (NYSE: CL)

Operational since 1806, Colgate-Palmolive (CL) turned its flagship products – oral care – into a diversified personal and home care consumer business. It has a market cap of $63.57 billion, operates in nearly 200 countries, and is a dividend aristocrat (increasing dividends for 25 consecutive years).

Differentiation and Strategy

As a percentage of revenue, oral care, personal care, and home care is 51%, 22%, and 21% respectively. CL's strategy is straightforward: leverage their existing brand awareness and global reach to promote their evergreen products. Since the 2010s, CL has been employing a "premiumization" strategy as an alternative to their mass-market goods. While competitors like PG and Unilever offer similar products, CL is actively trying to shift their revenue mix toward emerging economies, where they are currently focusing to educate customers about CL's products. A recent trend is CL's "experimental" premiumization strategy: soft-launching premium products in developed markets where strong premium competitors already exist. Success in these markets serves as validation before expanding the products into emerging economies..

Financial Performance

FY 2024 was a milestone year for CL as the company crosses $20 billion in revenue growing at 3.3% year over year. Their organic sales growth was significantly above peers and beat management expectations for the 6th year in a row at 7.4%. 2024 gross margins were up 2.3% at 60.5% while the operating margins were up 0.7% at 21.2%. CL's dividend yield stood at 2.7% with annual dividends of $2.08/share. These dividends have been paid since 1985, and have been issued for 63 consecutive years.

Recent Acquisitions

1. Prime 100 (February 2025) – Acquisition for 301M
2. Red Collar Pet Foods (September 2022) – Acquisition for 719M
3. Nutriamo (April 2022) – Undisclosed acquisition

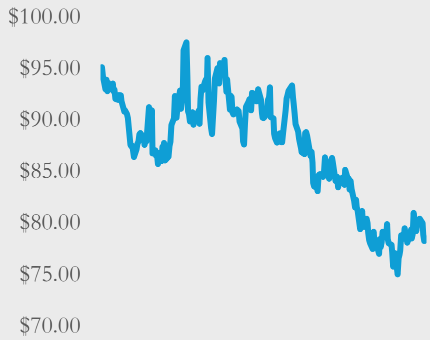
Considerations

Colgate-Palmolive faces intense competition from firms like Unilever and PG as mentioned above. This competition stems from homogenous products, which leads to differentiation through reductions in price, directly affecting margins. Consumer price-sensitivity can be explained by the fact that while prices went up 2.3%, volumes slowed by 1.9%, demonstrating a highly price sensitive audience. Additionally, CL, along with peers, face high customer concentration – Walmart, Target and Amazon account for 11%,8% and 6% of sales. If these retailers demand higher margins, allocate shelf-space differently, or demand better terms, it would add further pressure to CL's business.

Bull & Bear Research
Consumer| Consumer Packaged Goods
12/3/2025

Stock Rating	**Buy**
BBR Price Target	**$94.01**
Price (12/3/25)	$78.20
Ticker	CL
Exchange	NYSE

52 Week Range	$74.55-100.18



Research Team

Angie Dulin – Director
Jade Chan – Associate
Stephen Corrou – Analyst
Andrew Marotta – Analyst
Jaiveer Kumar – Analyst

Ratios

	CL	Peers
Current Ratio	0.93	0.87
Adjusted EPS	3.57	3.55
P/E	22.02	19.43

Stock Information

Market Cap (B)	$63.0
Shares Outs. (mm)	839
Free Float	54.3%
Dividend Yield	2.67%

Sources: Bloomberg, JP Morgan

CATALYSTS

Hill's Pet Nutrition Growth

Hill's Pet Nutrition Growth

Hill's Pet Nutrition has contributed ~23.1% to CL's topline growth over the last 2 years with revenues reaching as high as $4.48 billion. Furthermore, the industry is growing at a rapid CAGR of 35% through 2030. The growing presence of this brand is seen as its market share in the global pet care industry has consistently been placing in the top 3. Like CL as a whole, Hill's has also adopted a premium segment to its flagship products, offering a "therapeutic" foods range and pet care accessories to enhance the owner's experience. CL's acquisition of Prime100, the Australian fresh pet food company, in 2025 backs the thesis that CL is focusing on their pet care segment and shows the room for growth through adjacencies. Finally, since CL is one of the most established layers in this space, it give them the unique opportunity to reinvest into R&D to cater to pet owner preferences

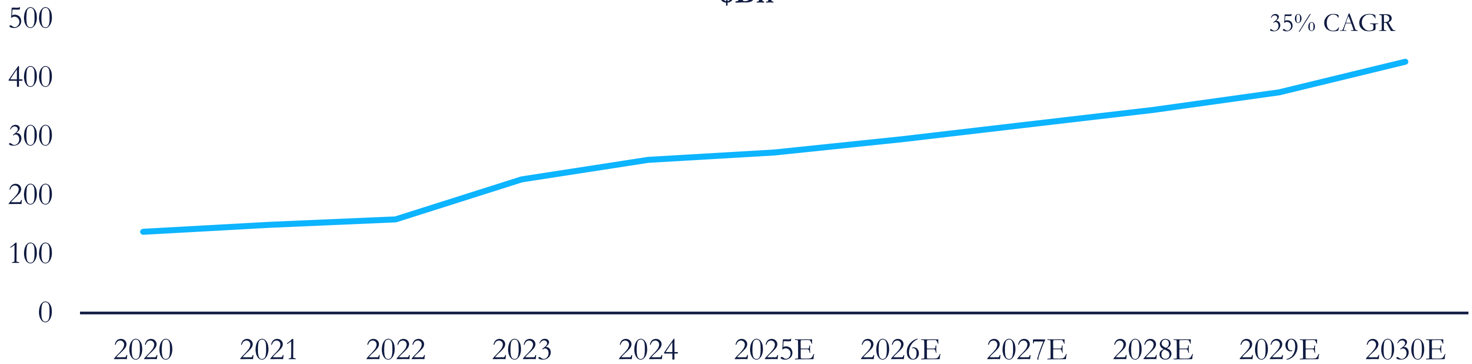
Emerging Markets Penetration

While the U.S. already has many well-established mass-market consumer-focused firms, emerging economies like Latin America, Africa, and India, contribute to 31%, 7%, and 5% to CL's total sales, respectively. These economies are growing at a much faster growth rate than the U.S. This has a two-pronged benefit to CL. It allows CL's international segment to grow at the rate of the company it is operating in, as well as expand its market share within these rapidly developing regions. Another growth driver is a growing middle class in each of these regions – this acts as a natural growth driver since it directly increases their SAM. Finally, since switching costs to consumer products are so low, by entering the market early CL can create a sense of familiarity amongst customers early on. Furthermore, CL's advanced distribution network acts as a natural moat in economies which have firms that can not compete at such a large scale.

Premiumization Strategy

As mentioned in the slide before, CL – along with many consumer brands – have adopted a premiumization strategy to cater to the niche set of consumers that are willing to spend more on certain products but have not had the opportunity previously. Health & wellness and eco-friendly products are the two verticals that CL is focusing the most on, as per Noel Walace (CEO). The main effect of these changes are the gross margins increasing, as the price increase is proportionately lower compared to the general cost of producing. However, products like these require more S&M spend, which can partially offset the gross margin expansion. Another caveat of a premiumization strategy is the inability to shift consumers perspectives from a mass-market consumer brand to a recognized premium brand. However, CL's management has stated that their established distribution systems help place them in front of a wide audience, aiding with changing pre-existing notions around the brand being mainstream and not premium. CL has an advantage over niche premium brands as CL already has an established brand reputation in the consumer space. CL does not have to build a customer base, it just has to put efforts into getting them to shift from one product they are already using to a marginally more expensive alternate to that, making it easer to build the brand than it is for companies just starting out.

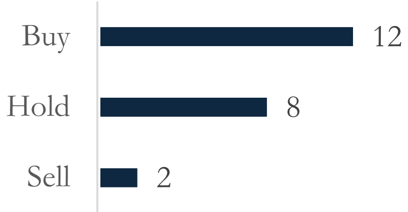
U.S. Pet Care Industry Growth Rate
$Bn



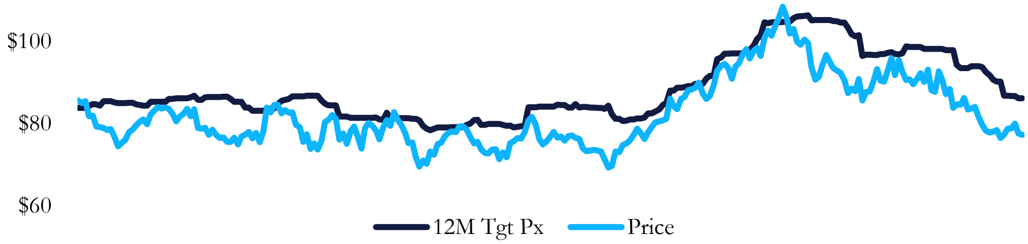
Sources: Bloomberg CL 10K, Earnings Call, Deloitte

ALTERNATIVE VALUATIONS

Consensus Rating	Price Analysis (3Y, USD)



Average Price Target: $86.73



Firm	Analyst	Date	Analyst Rating	Price Target
BBR	Consumer Coverage	12/01	Buy	$90.01
BNP PARIBAS	Kevin Grundy	11/25	Outperform	$88.00
TD Bank	Robert Moskow	11/25	Buy	$90.00
Evercore	Robert Ottenstein	11/03	Outperform	$94.00
Jefferies	Kaumil Gajrawala	11/03	Hold	$86.00
J.P.Morgan	Andrea Teixeiria	11/03	Overweight	$87.00
Rothschild & Co	Edward Lewis	11/03	Neutral	$84.00
RAYMOND JAMES®	Olivia Tog	11/03	Outperform	$95.00
Morgan Stanley	Dara Mohsenian	11/02	Overweight	$87.00

Select Commentary

J.P. Morgan **Rating:** Outperform **Price Target:** $87.00

- Accelerating Organic Sales Growth Trajectory: CL is projected to deliver 3.3% organic sales growth in 2026 and 3.9% in 2027
- Margin Expansion and Operating Leverage: Gross margins are expected to reach 60.4% by 2027 with operating margins climbing to 21.7%
- The company maintains robust free cash flow supporting a consistent dividend
- Expected to trade at an EV/EBITDA multiple of 14.3x and P/E of 19.8x, reflecting the market's confidence in its defensive characteristics and execution.

Research Team:

Chris Schott, CFA
Shovana Chowdhury
Drew Levine, CFA

Sources: Bloomberg

BBR BULL & BEAR RESEARCH

Initiating Coverage: e.l.f Beauty

BULL & BEAR RESEARCH

e.l.f Beauty, Inc. (NYSE: ELF)

ELF was founded in 2004 and went public in 2016. ELF is a beauty company with cosmetics and skin care products under the e.l.f. Cosmetics, e.l.f. Skin, Rhode, Well People, Naturium, and Keys Soulcare brands.

Differentiation and Strategy

ELF's marketing strategy and consumer focus are what differentiate it most from competitors. They attract and engage consumers primarily through digital and social media while legacy beauty brands focus on traditional media such as magazine and television ads. ELF has built a highly engaged community, relying on this community to inform innovation efforts and future marketing campaigns. This multi-faceted strategy to build brand awareness, affinity, and loyalty, combined with good quality products with affordable prices, leads to continued traction and loyalty from consumers.

Financial Performance

ELF's LTM revenue of $1.39B represents the strongest growth in its peer group at 28.3% YoY, significantly outpacing traditional household goods companies such as PG and CL which saw flat to low-single digit growth. This exceptional revenue expansion demonstrates ELF's ability to capture market share in the competitive sector with its strong momentum and effective marketing and distribution strategies. ELF's EBIT margin of 9.3% declined from prior periods and EBIT itself declined to $129M LTM in September from $158M in March 2025. This can be attributable to integration costs and increased marketing investments associated with the Rhode acquisition. ELF has increased leverage with LT debt/equity rising to 78% from previous 40% in March, primarily driven by $600M in debt financing used to acquire Rhode in August. Despite this elevated leverage, ELF maintains healthy liquidity with a current ratio of 3.05x.

Recent Acquisitions

1. HRBeauty LLC aka Rhode (August 2025) - Acquisition for $800M
2. Naturium (August 2023) - Acquisition for $355M

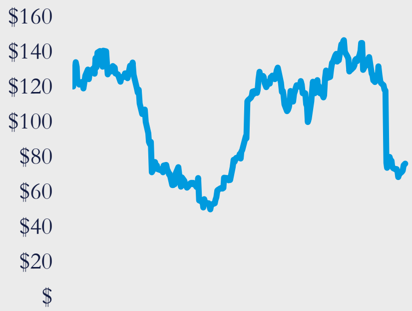
Considerations

ELF's market position is unique as they combine 100% cruelty free and vegan products with affordability and high quality. This makes them the go-to alternative as high-quality options are often expensive, and low-cost options are rarely animal-conscious. ELF is extremely exposed to trade policy uncertainty as 75% of their products are sourced from China. This makes tariffs a significant consideration for their operations. ELF implemented a $1 price increase to most of their products in August which has contributed greatly to their top line. ELF's recent acquisition of Rhode, plans to sell at Sephora, and intention to expand in Germany and the UK, are all significant opportunities for near-term growth.

Bull & Bear Research
Consumer| Consumer Packaged Goods
12/3/2025

Stock Rating	**Buy**
BBR Price Target	**$114.07**
Price (12/3/25)	$80.37
Ticker	ELF
Exchange	NYSE

52 Week Range	$126.45-245.31



Research Team

Angie Dulin – Director
Jade Chan – Associate
Stephen Corrou – Analyst
Andrew Marotta – Analyst
Jaiveer Kumar – Analyst

Ratios

	ELF	Peers
Current Ratio	3.05x	0.94x
Adjusted EPS	6.6	8.23
P/E	43.06	20.35

Stock Information

Market Cap (B)	$4.54
Shares Outs. (mm)	59.6
Free Float	97.15%
Dividend Yield	N/A

Sources: JP Morgan, e.l.f., Vogue, Pitchbook, S&P, The Hollywood Reporter

Catalysts - ELF

Growth in Gen Z Spending Power

As Generation Z continues to gain economic influence and spending power, ELF stands positioned to capture a disproportionate market share. ELF has demonstrated exceptional digital-first marketing strategies that resonate with Gen Z consumers, pioneering approaches that legacy beauty brands have struggled to replicate. For example, ELF has leveraged digital media feedback loops to drive product innovation and marketing campaigns, notably collaborating on its first Super Bowl ad in 2023 with Jennifer Coolidge, a highly discussed persona at the time. ELF has also mastered the use of humor-driven content and engagement which has created strong brand loyalty among younger consumers.

ELF's commitment to being 100% vegan and cruelty-free aligns directly with Gen Z's values-driven purchasing behavior. These commitments differentiate them in a market where ethical considerations increasingly influence purchase decisions.

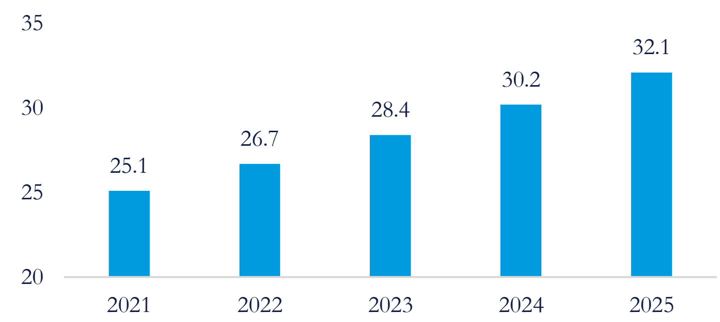
Gen Z is additionally more likely to experiment with new beauty products and trends than Millennials, the other largest consumer group for beauty products. Because of this trend following nature of Gen Z, purchases more affordable products with the anticipation of buying something different. This creates sustained demand for ELF's accessible price points.

Consumer Focus on Affordability

In a time where consumers are preferring more affordable options, ELF is positioned to capitalize. As ELF products are known to be great quality at a low price point, many consumers buying beauty products are likely to look towards them as an alternative to their more expensive purchases. As economic uncertainty prevails, consumer optimism has declined meaning that consumers will be focused on saving money where possible. Rising prices and persistent inflation is driving heightened caution across all income groups and generations. Discretionary spending decreased in September with price expectations remaining elevated, pushing consumers to cut back on elevated and premium goods. This focus on affordability is beneficial to ELF as consumers seek affordable alternatives that have comparable quality to prestige brands.

Skin Care Industry Growth

Skin care is one of the largest and fastest-growing segments within the beauty industry. It includes products such as sunscreen, moisturizers, cleansers, and face masks. The global skincare market is valued at $162 billion in 2025 and projected to reach $222 billion by 2030, representing approximately 6-7% annual growth that outpaces traditional color cosmetics. ELF's growth in this segment via e.l.f. Skin will allow them to reach a broader customer base as skin care is significantly more unisex than the rest of beauty. Large diversified household goods companies currently dominate the US market with companies such as PG, CL, and JNJ playing large roles. However, these companies often lack the agility and brand authenticity that resonate with younger consumers, which elf excels at. As the segment grows, elf has great opportunity to capitalize.



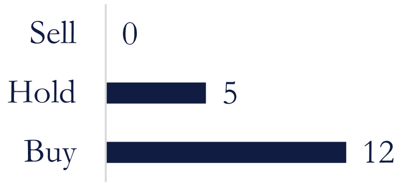
Volatile Trade Policy

Macroeconomic headwinds present considerable risk to elf's near-term growth because of their low pricing power. As affordability and accessibility of products is one of elf's main competitive advantages, increasing prices could alienate their core customer base. ELF sources 75% of their products from China gives elf direct exposure to the tariff volatility that has materialized. For example, they implemented a price increase on most products in August. Unlike other companies that have moved their operations to the US, elf's CEO said that elf is "committed to our China team and suppliers". This commitment to their existing manufacturing infrastructure means elf will continue absorbing margin pressure from tariff costs, directly constraining profitability while also costing customers, until trade conditions stabilize.

Sources: Forbes, McKinsey, Deloitte, Yahoo Finance, Vogue, e.l.f. Beauty, Tricoci University, AMR

ALTERNATIVE VALUATIONS

Consensus Rating	Price Analysis (3Y, USD)



Average Price Target: $121.71

Firm	Analyst	Date	Analyst Rating	Price Target
BBR	Consumer Coverage	11/30	Buy	$114.07
Morgan Stanley	Dara W Mohsenian	11/25	Overweight/In-Line	$121.00
COWEN	Oliver Chen	11/25	Buy	$100.00
Goldman Sachs	Bonnie Herzog	11/06	Buy	$135.00
J.P.Morgan	Andrea Teixeira	11/06	Overweight	$137.00
RAYMOND JAMES®	Olivia Tong	11/06	Strong Buy	$135.00
Deutsche Bank	Stephen Powers	11/06	Hold	$100.00
PIPER SANDLER	Anna Andreeva	11/16	Neutral	$100.00
Jefferies	Ashley Helgans	11/05	Buy	$120.00

Select Commentary

J.P. Morgan **Rating:** Overweight **Price Target:** $135.00

- Price Target declined $31 based on mixed results missing top line but beating EPS, 24x 2027 EPS, $4.03 Adjusted EPS
- FY2026 Adj. EBITDA forecast to $294.4M, down $60.7M from prior estimate
- Very optimistic about Rhode acquisition and foray into Sephora and ELF's wide range of consumers from all income and age cohorts
- Risks include decelerating sell-through trends at brick-and-mortar retailers, lower than expected consumer acceptance of price increases, increasing trade tension between the US and China, and lower than expected cost cuts

Research Team:

Andrea Teixeria, CFA
Shovana, Chowdhury
Drew Levine, CFA

Sources: Bloomberg, JP Morgan